INSURANCE AND PENSIONS COMMISSION (IPEC)

SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE QUARTER ENDED 31 DECEMBER 2013

Contents

List of Figures

List of Tables

List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
IBNR	–	Incurred But Not Reported
IPEC/Commission	–	Insurance and Pensions Commission
NEP	–	Net Earned Premium
NPW	–	Net Premium Written
ROA	-	Return on Assets
ROE	–	Return on Equity
UPR	–	Unearned Premium Reserve

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

Executive Summary

This report details the performance and developments that took place in the non-life insurance industry during the quarter ended 31 December 2013. Following the registration of Safel Insurance Company and Revival Insurance Brokers during the quarter under review, the number of registered insurance companies and insurance brokers increased from twenty eight (28) and twenty nine (29) to twenty nine (29) and thirty (30) respectively. There were no changes in the number of registered non-life reinsurers and reinsurance brokers. Non-life insurers reported an increase in total gross premium written from $194 million for the year ended 31 December 2012 to $209.84 million for the ended 31 December 2013. Out of the business written, $99.42 million was ceded to reinsurers, of which $52.72 million was ceded through reinsurance brokers. Insurance brokers wrote business with total premium amounting to $94.44 million which constituted 45.01% of total GPW reported by non-life insurers. The major sources of business in the short term insurance industry remained motor and fire insurance. Two insurance companies were not compliant with the regulatory minimum capital requirement of $750,000 as at 31 December 2013. A number of insurers experienced capitalization challenges emanating from encumbered assets and high levels of premium debtors. Total assets for the non-life insurance industry increased from $312.06 million as at 30 September 2013 to $327.56 million as at 31 December 2013. All the short term underwriters were **not compliant** with the prescribed assets ratio. Only five insurers had investments in prescribed assets. On average, there were no significant changes in the risk appetite for short term underwriters as evidenced by negligible changes in industry average retention ratios during the year ended 31 December 2013. Profitability improved for both direct insurance companies and reinsurance companies. Total profit after tax for non-life insurers increased from $7.26 million for the year ended 31 December 2012 to $12.02 million for the year ended 31 December 2013. On the other hand, profit after tax for reinsurers increased from $0.66 million for the year ended 31 December 2012 to $6.56 million for year ended 31 December 2013. Notwithstanding some slight improvements in the liquidity position of the reinsurers, the short term insurance industry was considered to be constrained by liquidity challenges which resulted in failure by some policyholders to timeously pay premiums.

SECTION A

1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

1.1. Number of Direct Non-life Insurers

The number of registered non-life insurers increased from twenty eight (28) as at 30 September 2013 to twenty nine (29) as at 31 December 2013, following the registration of Safel Insurance Company on 15 October 2013. Out of the registered non-life insurers, five (5) companies remained non-operational. There were no significant developments on the status of non-operational insurers during the quarter under review.

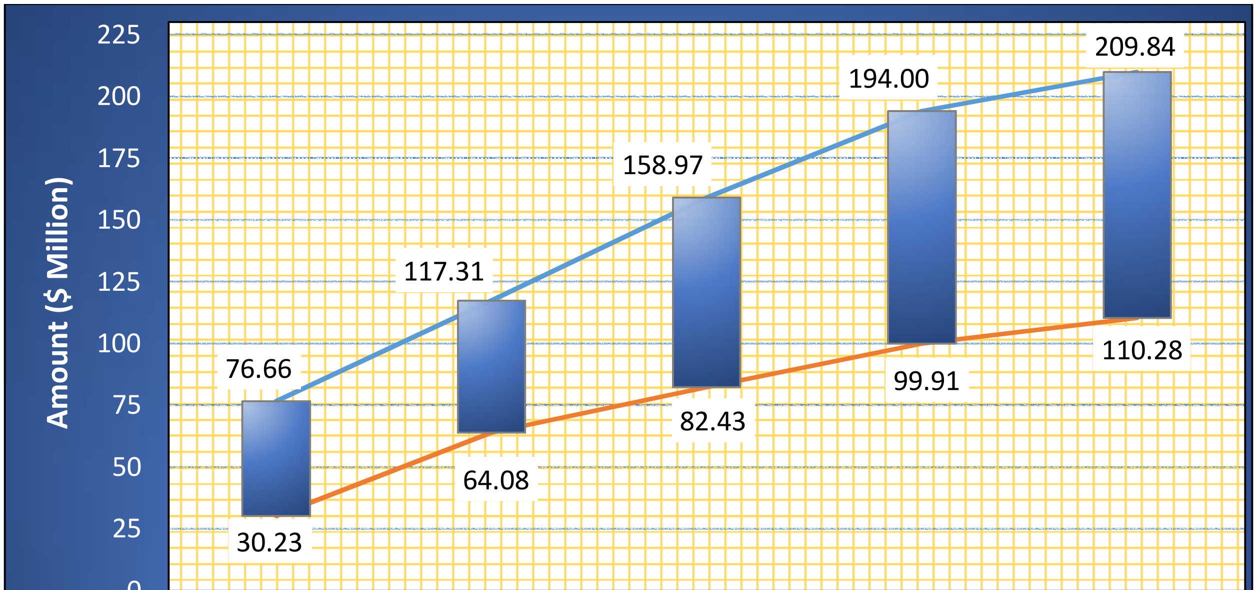
1.2. Trend and Distribution of Business

Ever since the introduction of the multicurrency regime in 2009, the volume of business written by direct non-life insurers, in terms of both GPW and NPW was always on an upward trend as shown in Figure 1 below. GPW increased from $194 million for the year ended 31 December 2012 to $209.84 million for the year ended 31 December 2013. However, as shown in Figure 1, the annual growth in the volume of business written slowed down in 2013 in line with the slowing down of annual growth rates in many sectors of the economy.

The annual growth rate in GPW was 8.16% in 2013 compared to 22.04%, 35.51%, and 53.04% reported in 2012, 2011 and 2010 respectively. On the other hand, the annual growth rate in NPW in 2013 was 10.38% compared to 21.21%, 28.64%, and 111.97% in 2012, 2011 and 2010 respectively. The slowdown in the annual growth rate of the non-life insurance industry may be attributable to challenges such as low liquidity and low industry capacity utilization that are bedeviling the economy at large.

The growth in NPW reported between the year ended 31 December 2009 and 31 December 2013 of 264.83% was higher than that recorded in GPW of 173.74%, a situation which may be attributable to an increase in risk appetite of non-life insurers over the years. This also shows the improvement in the retention capacity of direct non-life insurers following a decade long hyperinflationary period that had eroded the capacity of many insurers. This is confirmed by the increase in the retention ratio from 39.43% for the year ended 31 December 2009 to 52.56% for the year ended 31 December 2013.

Figure 1: Trend in Volume of Business Written Since 2009



	2009	2010	2011	2012	2013
GPW	76.66	117.31	158.97	194.00	209.84
NPW	30.23	64.08	82.43	99.91	110.28

The increase in GPW experienced during the year under review, was mainly driven by changes in business generated from motor, bonds/guarantees and fire insurance which amounted to $7.44 million, $3.51 million and $2.81 million respectively.

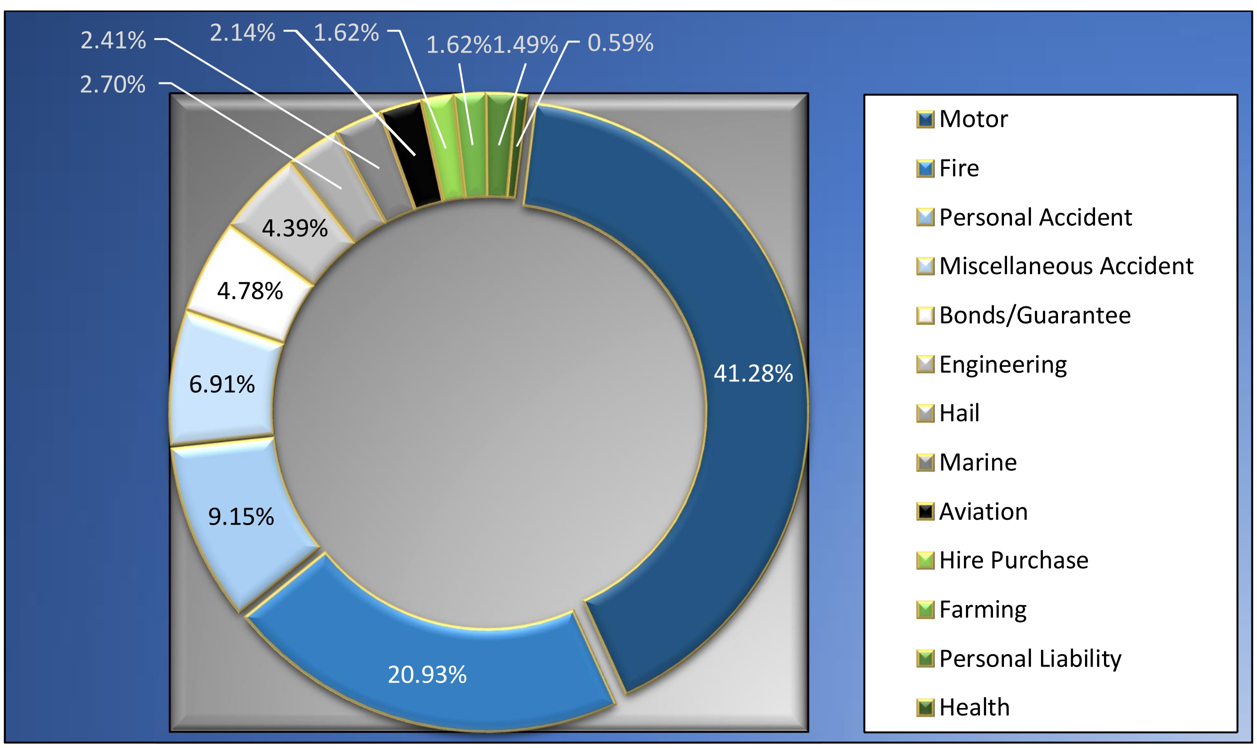
The fastest growing classes of business in terms of GPW were hire purchase and bonds/guarantees which recorded increases in gross premium of 60.71% and 53.76% respectively. On the other hand, the least performing classes of business in terms of growth in GPW were marine and health insurance which recorded decreases in GPW of 15.54% and 12.50% respectively. Table 1 below shows changes in GPW for all classes of business.

Motor and fire insurance remained the dominant classes of business accounting for 41.29% and 20.91% of total gross premium written during the year ended 31 December 2013. The overall distribution of business remained largely unchanged, with only small changes in GPW attributable to the different classes compared to the distribution of business written during the year ended 31 December 2012. Figure 2 below shows the distribution of business written during the year ended 31 December 2013.

Table 1: Gross Premium Written by Class of Business

Class of Business	Gross Premium Written ($)		Percentage Change
	31 December 2012	31 December 2013	
Aviation	4,255,408	4,481,638	5.32%
Bonds/Guarantee	6,527,440	10,036,394	53.76%
Engineering	10,082,227	9,202,212	-1.35%
Farming	2,760,798	3,392,033	22.61%
Fire	41,058,929	43,914,637	6.83%
Hail	5,556,348	5,668,374	-2.17%
Health	1,416,935	1,239,831	-12.50%
Hire Purchase	2,110,193	3,391,249	60.71%
Marine	5,985,169	5,054,923	-15.54%
Miscellaneous Accident	14,339,084	14,491,193	1.06%
Motor	79,160,681	86,622,412	9.40%
Personal Accident	17,302,045	19,207,446	11.01%
Personal Liability	3,442,667	3,134,913	-8.94%
Total	**193,997,924**	**209,837,257**	**8.12%**

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



1.3. Capitalization

All operating direct non-life insurers, except Excellence Insurance Company and Sanctuary Insurance Company reported capital positions which were compliant with the minimum regulatory requirement of $750,000. Table 3 below shows the trend in capital positions for all insurers since 31 December 2012.

Non-life insurers reported an industry average solvency margin of 58.87% as at 31 December 2013, which compares unfavourably with 60.43% that was reported as at 30 September 2013. Figure 3 below reflects the solvency margins for all the non-life insurers as at 31 December 2013. More key performance indicators in respect of capital adequacy are shown in Appendix 1A.

Prior to the publication of this report, the Commission conducted capital verification inspections on some non-life insurers. The inspections revealed the following shortcomings:

a) Some of the institutions reported assets which were either encumbered or their legal title was yet to be transferred to the said institutions. Such a situation compromises the ability of the insurers to use the said assets to back their liabilities; and

b) Some companies had high premium debtors to total assets ratios as at 31 December 2013. This implies that the bulk of their liabilities is backed by premium debtors.

In some instances, it was established that some insurers are “window dressing” their capital positions to comply with the minimum capital requirements. In a bid to address the shortcomings highlighted above and in view of the need to protect policyholders, the Commission shall be issuing directives to the market.

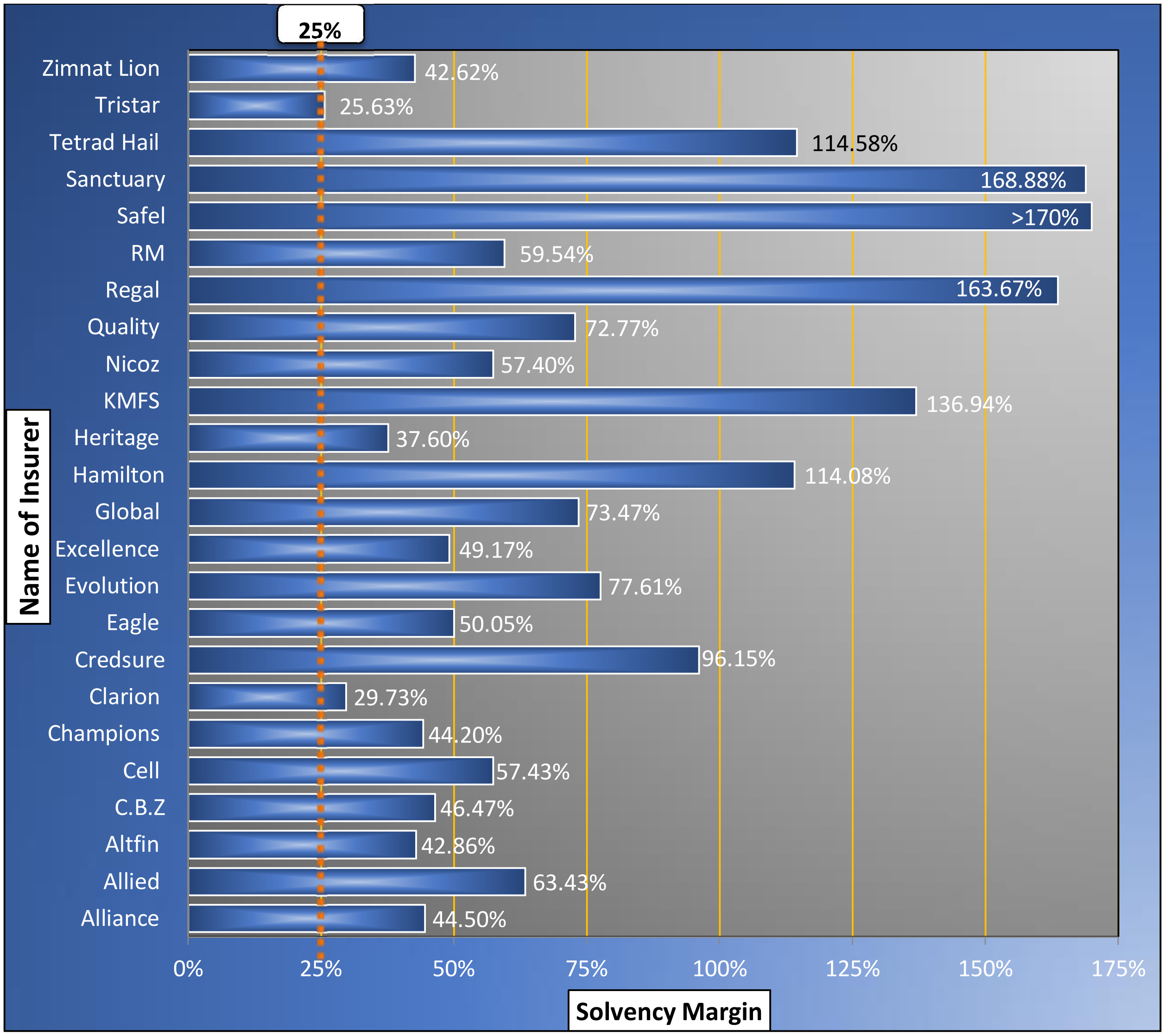
Table 2: Capital Positions for Non-life Insurers

Name of Insurance Company	Reported Capital Position ($)			
	31-Dec-12	30-Jun-13	30-Sep-13	31-Dec-13
Alliance Insurance Company	3,435,806	3,695,464	3,639,915	4,044,230
Allied Insurance Company	452,185	732,258	753,788	937,773
Altfin Insurance Company	1,437,855	1,382,000	1,119,000	1,335,000
C.B.Z Insurance Company	1,171,680	1,556,208	1,641,790	1,629,795
Cell Insurance Company	1,669,291	5,347,767	4,142,804	5,132,777
Champions Insurance Company	1,125,695	1,296,090	1,229,372	1,655,678
Clarion Insurance Company	1,391,971	1,754,640	1,640,490	1,113,360
Credit Insurance Zimbabwe	2,990,977	3,058,236	3,396,629	2,791,206
Eagle Insurance Company	2,191,083	2,527,755	2,569,741	3,574,437
Evolution Insurance Company	1,346,534	1,385,114	1,424,458	1,515,876
Excellence Insurance Company	410,776	701,758	171,407	319,729
Global Insurance Company	1,015,060	1,056,461	1,063,470	1,089,389
Hamilton Insurance Company	736,432	945,517	1,031,489	953,731
Heritage Insurance Company	1,486,757	2,071,423	1,930,948	1,733,475
KMFS Insurance Company	956,857	840,690	807,906	1,101,418
Nicoz Diamond Insurance Company	8,952,658	9,313,000	9,316,000	9,614,000
Quality Insurance Company	1,087,414	1,464,000	1,342,000	1,411,000
Regal Insurance Company	943,842	2,542,927	2,396,498	2,522,191
RM Insurance Company	6,800,381	8,907,458	9,921,819	11,648,111
Safel Insurance Company				1,405,056
Sanctuary Insurance Company	1,392,199	1,371,749	1,353,105	677,031
Tetrad Hail Insurance Company	3,031,567	3,437,201	3,546,726	3,961,574
Tristar Insurance Company	2,123,067	1,036,578	1,167,477	939,365
Zimnat Lion Insurance Company	3,121,954	3,514,641	3,662,023	3,822,754

Key:

(green)	The insurer was compliant with the minimum capital requirement of $1.5 million effective 30 June 2014.
(amber)	The insurer was compliant with the minimum capital requirement of $0.75 million effective 30 June 2013, but was yet to comply with $1.5 million effective 30 June 2014.
(red)	The insurer was not compliant with the minimum capital requirement of $0.75 million effective 30 June 2013.

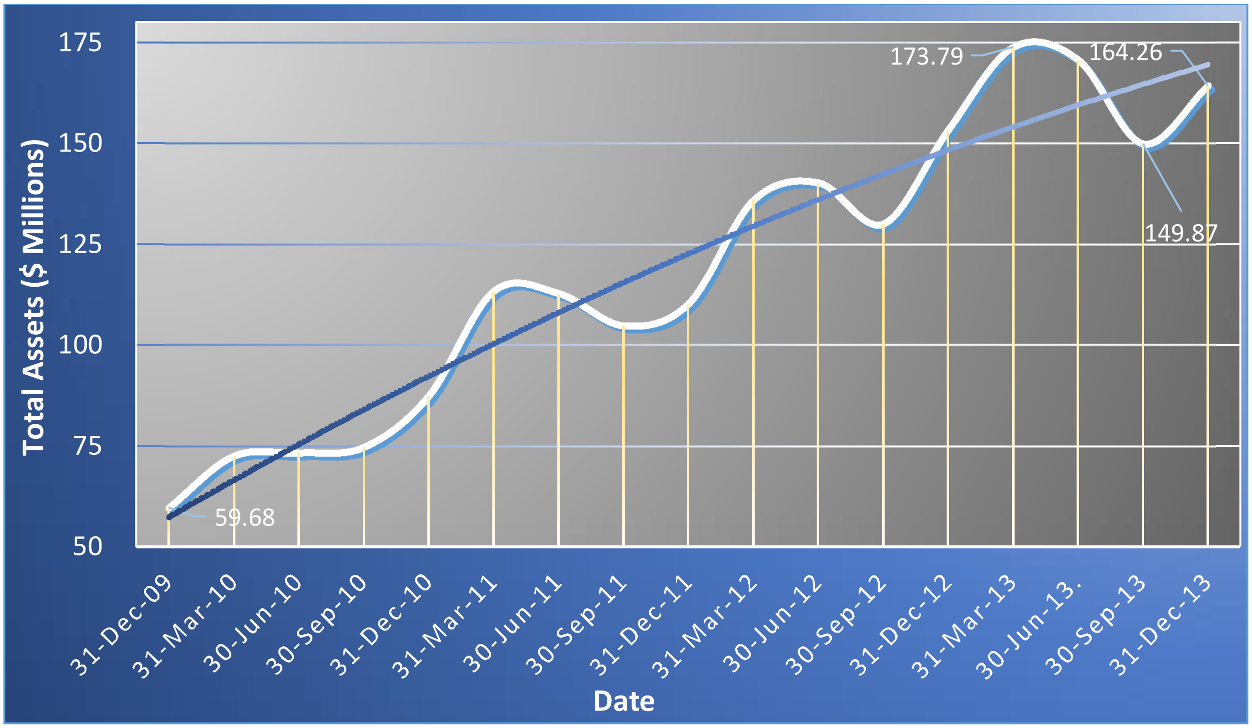
Figure 3: Solvency Margin for Non-life Insurers



1.4. Asset Quality

Since the inception of the multicurrency regime in 2009, total assets for non-life insurers were generally on the upward trend, increasing from $59.68 million as at 31 December 2009 to $164.26 million as at 31 December 2013. Figure 4 below shows the trend in total assets. During the quarter under review, total assets increased by 9.61% from $149.87 million as at 30 September 2013 to $164.26 million as at 31 December 2013. The increase in total assets was mainly driven by changes in reinsurers' share of outstanding claims as well as premium debtors. Growth emanating mainly from debtors is not sustainable in the long term given that some debtors may not be fully recoverable.

Figure 4: Quarterly Trend in Total Assets since 2009

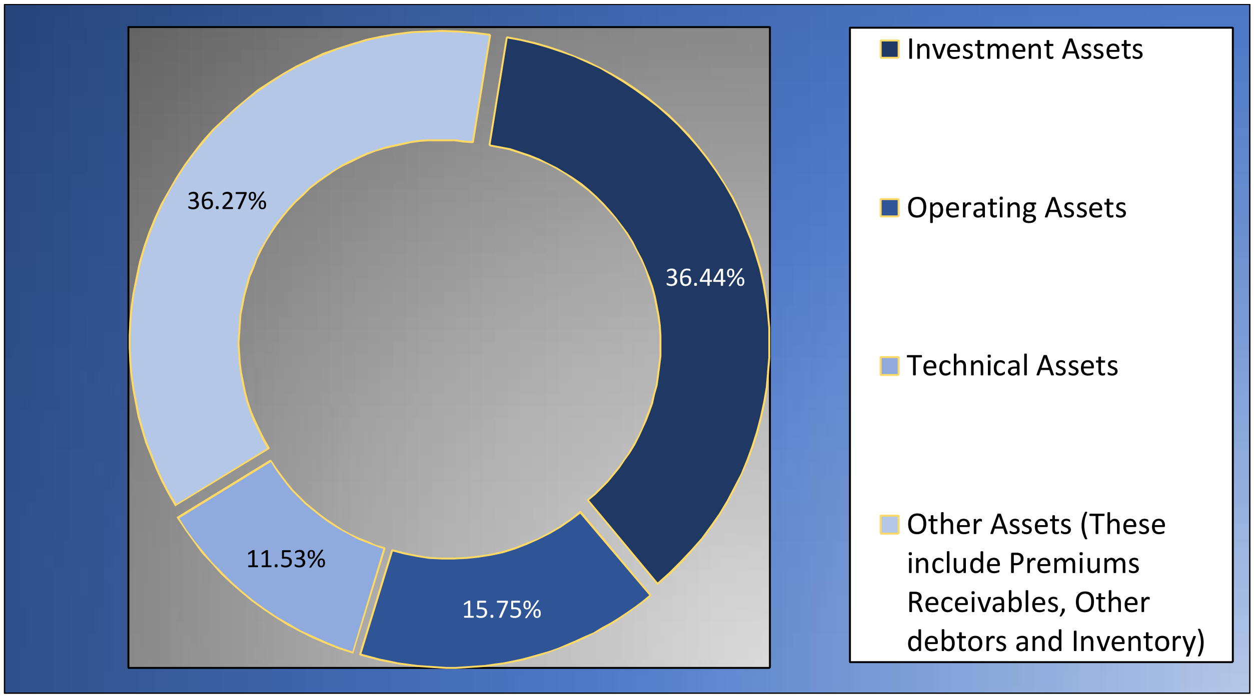


Investment assets amounted to $59.94 million and contributed 36.49% of the total asset base as shown in Figure 5 below. The proportion of total assets in the form of investments was considered relatively low, a situation which compromises the income generating capacity of assets. More so given that the investments were meant to support liabilities that amounted to $99.34 million as at 31 December 2013, and ordinarily a huge portion of liabilities should be supported by investments.

Other assets shown in Figure 5 below were mainly made up of debtors, including premiums receivable, as well as inventory and amounted to $59.67 million as at 31 December 2013 and contributed 36.27% of total assets. Short term insurers should devise strategies to ensure that their assets are largely skewed towards investments in a bid to boost their income generating capacity as well as improve sustainability of assets.

The breakdown of total assets shows that, on average, most insurers' investments were significantly out of sync with guidelines issued in Circular No. 2 of 2013 which becomes effective on 1 April 2014.

Figure 5: Breakdown of Short-Term Insurers' Total Assets

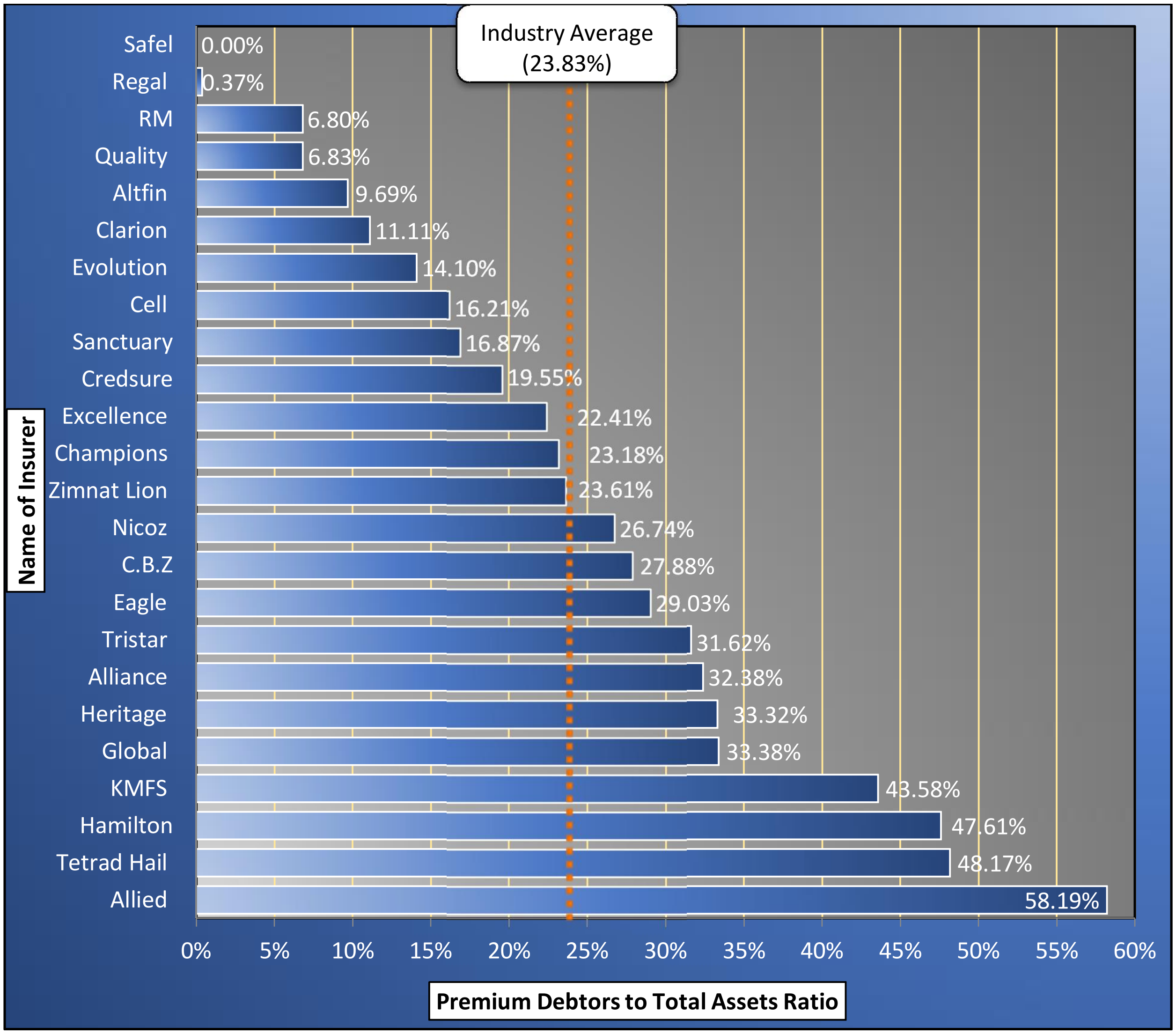


NB: Operating Assets are those assets acquired for use in the conduct of ongoing operations. Technical assets refers to reinsurers' share of outstanding claims and deferred acquisition cost.

As at 31 December 2013, all non-life insurers reported prescribed assets ratios which were **not compliant** with the regulatory minimum of 5%. The industry average prescribed asset ratio was 0.49%. While the Commission appreciates that there have not been adequate instruments with prescribed asset status on the market, it is seriously concerned with a situation where only five (5) operating non-life insurers reported some investments in prescribed asset (See Appendix 1C). Necessary regulatory action shall be taken to deal with institutions which do not make an effort to comply with the minimum prescribed assets ratio.

The industry average ratio of premium debtors to total assets deteriorated marginally from 23.64% as at 30 September 2013 to 23.83% as at 31 December 2013. Notwithstanding the low average premium debtors to assets ratio, a number of non-life insurers reported premium debtors which accounted for relatively high proportions of their total assets with the highest proportion being 58.19% as shown in Figure 6 below. Such a situation compromises the asset quality of the said insurers and may also have a negative bearing on the solvency of the same insurers.

Figure 6: Premium Debtors to Total Assets Ratios

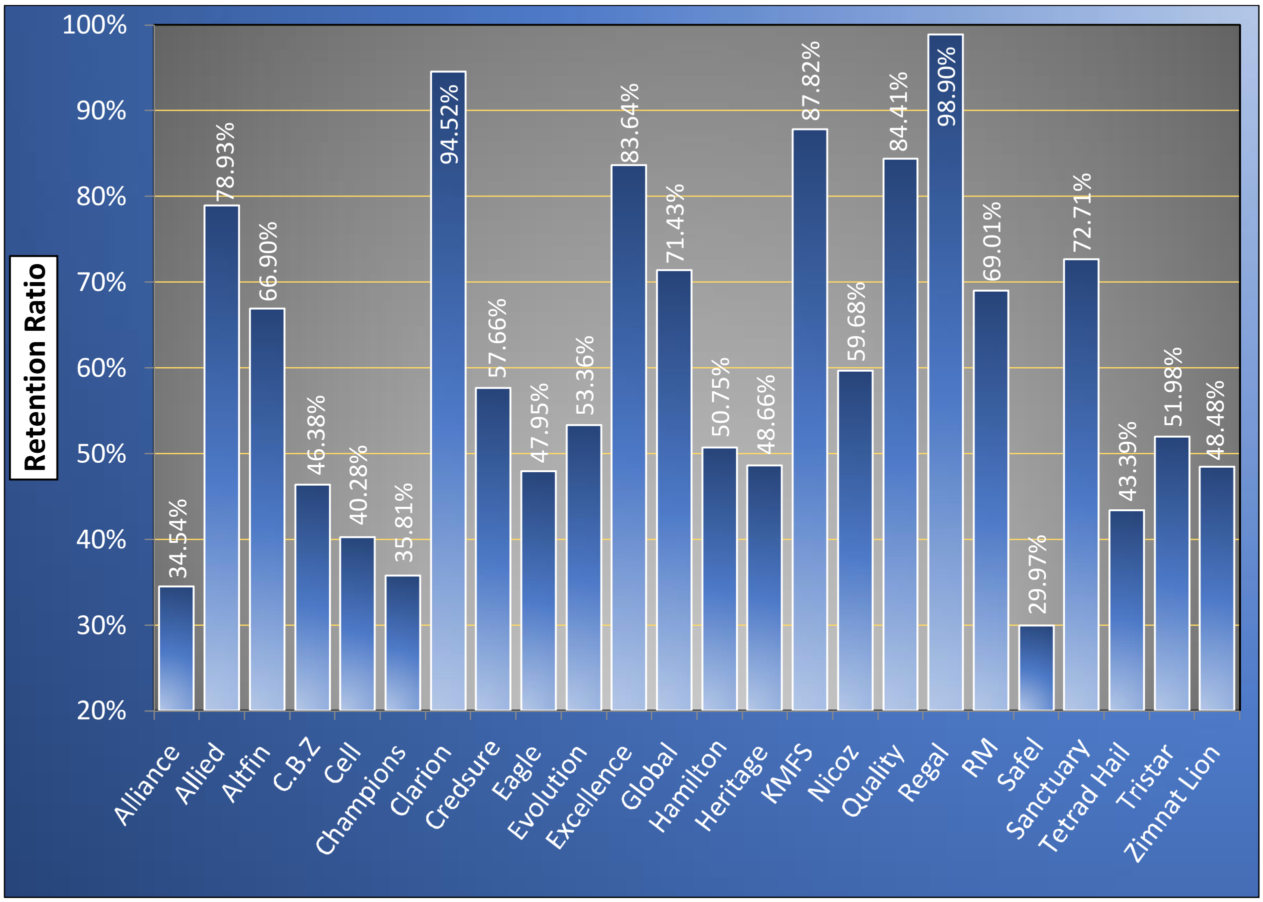


In a related matter, the rate of collection of premiums improved as reflected by a decrease in premium debtors to gross premium ratio from 23.09% as at 30 September 2013 to 18.65% as at 31 December 2013. Notwithstanding the improvement, some insurers reported ratios which were significantly above the industry average. (See Appendix 1C for ratios in respect of all insurers). In some cases, such high ratios were attributable to the practice in farming insurance, where premiums on policies written at the beginning of the season, are deducted through stop orders at the point of sale of the harvest. KMFS Insurance Company reported the highest premium debtors to gross premium ratio of 112.06% indicating that some of its premium debtors were outstanding for more than 365 days.

1.5. Reinsurance

There were no significant changes in the risk appetite of short term insurers with the industry average retention ratio of 52.56% for the year ended 31 December 2013 compared to 51.50% reported for the year ended 31 December 2012. The retention ratios for individual insurers ranged from 29.97% to 98.90%. Figure 7 below shows the retention ratio for all the direct non-life insurers.

Figure 7: Retention Ratios for Short Term Insurance Companies

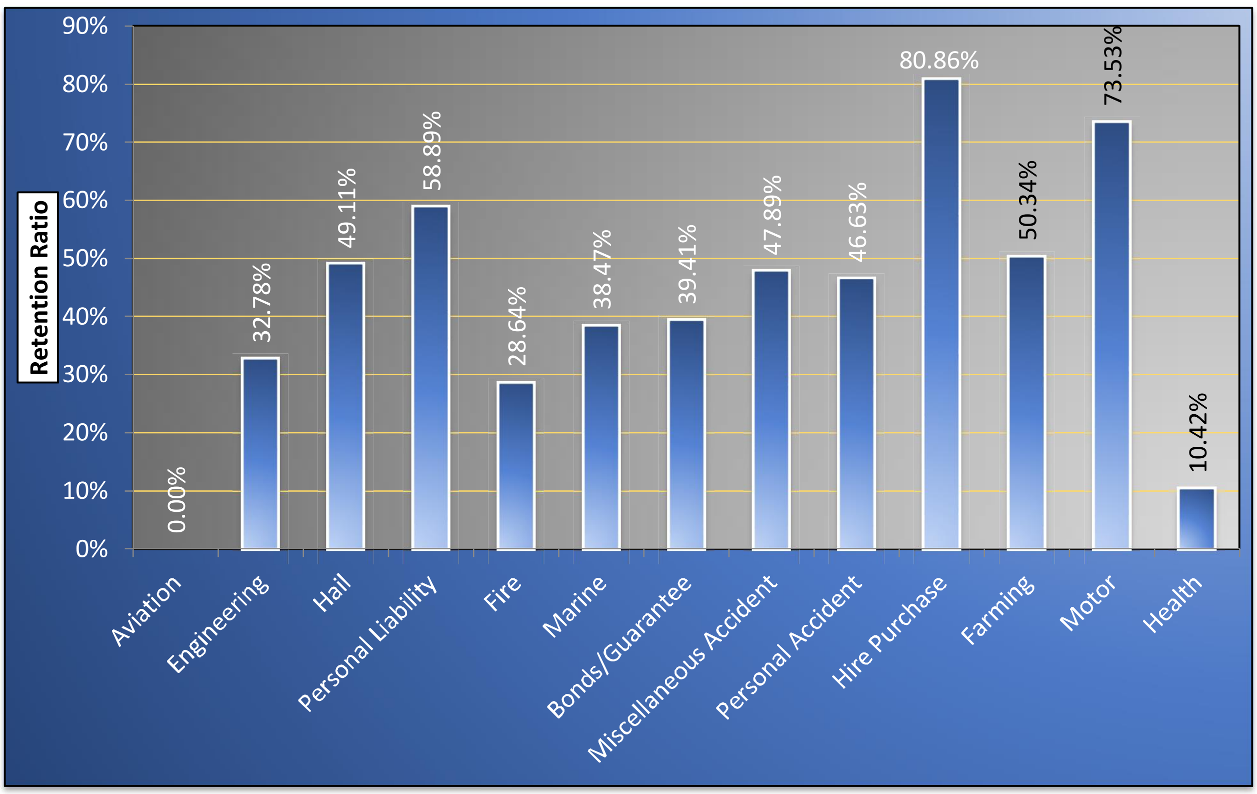


Premium remittances to reinsurers improved as evidenced by the decrease in the average reinsurance creditors to reinsurance premium from 30.08% for the year ended 31 December 2012 to 26.38% for the year under review. Notwithstanding the improvement, Regal Insurance Company, Allied Insurance Company and KMFS Insurance Company continued to report the highest reinsurance creditors to reinsurance premium ratios of 506.20%, 185.59% and 101.79% respectively which are in excess of 100%. This implies that, as at 31 December 2013, these insurers were still owing reinsurance premiums for business ceded prior to 1 January 2013.

Failure to remit premiums to reinsurers compromises the reinsurance arrangements put in place, a situation which heightens underwriting as well as credit risk. See Appendix 1C for reinsurance creditors to reinsurance premium ratios for all insurers.

In terms of retention by class of business, hire purchase and motor insurance remained the business classes where insurers retain the highest proportions of risk as shown in Figure 8 below. It is worth noting that frequency of losses is high in the motor insurance business. Aviation and health insurance continued to be the business classes with the lowest retention ratios. This may be due to low capacity especially in aviation.

Figure 8: Non-life Insurers' Average Retention Ratios for Different Classes of Business



Reinsurers were liable to pay 60.72% of total outstanding claims which amounted to $24.81 million as at 31 December 2013. While this may indicate the effectiveness of reinsurance on the part of insurers in the sense that the bulk of outstanding claims will be paid by reinsurers, it also indicates that there was a significant inherent exposure to credit risk.

1.6. Actuarial Liabilities

The Commission noted with comfort that all non-life insurers provided for unexpired premium reserves (UPR) as well as net claims incurred, but not reported (IBNR) during the period under review. There were no significant changes in UPR and IBNR during the quarter under review. Total UPR amounted to $27.45 million as at 31 December 2013, compared to $26.43 million reported as at 30 September 2013. Total IBNR increased from $9.10 million as at 30 September 2013 to $9.83 million as at 31 December 2013.

On average the short term insurance industry was considered to be holding adequate capital to withstand adverse events. This is in view of the fact that the average technical reserves to capital as well as total outstanding claims to capital ratios of 57.42% and 30.15% respectively were significantly below the prudential threshold of 100%. See Appendix 1C for the ratios of all non-life insurers.

1.7. Earnings

Total profit after tax for short term insurers increased by 65.67% from $7.26 million for the year ended 31 December 2012 to $12.02 million for the year ended 31 December 2013. The growth in profit after tax was mainly driven by changes in the volume of business written which outweighed the increase in both operating expenses and claims. The improvement in profitability is also shown by the improvement in return on equity and return on assets from 14.29% and 4.73% for the year ended 31 December 2012 to 18.52% and 7.32% respectively for the year under review. Five (5) underwriters reported losses during the period under review, notwithstanding the overall positive profit after tax reported by the sector. (See Appendix 1A).

The profitability of the core business of non-life insurers improved as reflected by the increase in underwriting profits from $5.12 million for the year ended 31 December 2012 to $7.05 million for the year under review. The improvement is also reflected in the increase in underwriting margin from 5.44% to 6.68%. The improvement in underwriting margin was mainly driven by improvement in the loss ratio from 46.66% to 43.25%. Net claims incurred during the period under review amounted to $45.63 million. Underwriting remained the major income driver with investment income accounting for 4% of net premium written (NPW).

1.8. Liquidity

Cash and near cash assets increased from $36.07 million as at 30 September 2013 to $39.1 million as at 31 December 2013. However, an analysis of the distribution of the liquid assets shows that most insurers are struggling in terms of liquidity, since 62.59% of the liquid assets were concentrated in three insurers. The said insurers are RM Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company which accounted for 30.04%, 17.61% and 14.94% of the total liquid assets respectively.

Total working capital increased by 7.55% from $23.22 million as at 30 September 2013 to $24.55 million as at 31 December 2013. Although total liquid assets as wee as working capital increased during the quarter under review, the overall liquidity position of the sector for direct short term insurers deteriorated. The industry average current ratio deteriorated from 128.04% as at 30 September 2013 to 126.71% as at 31 December 2013.

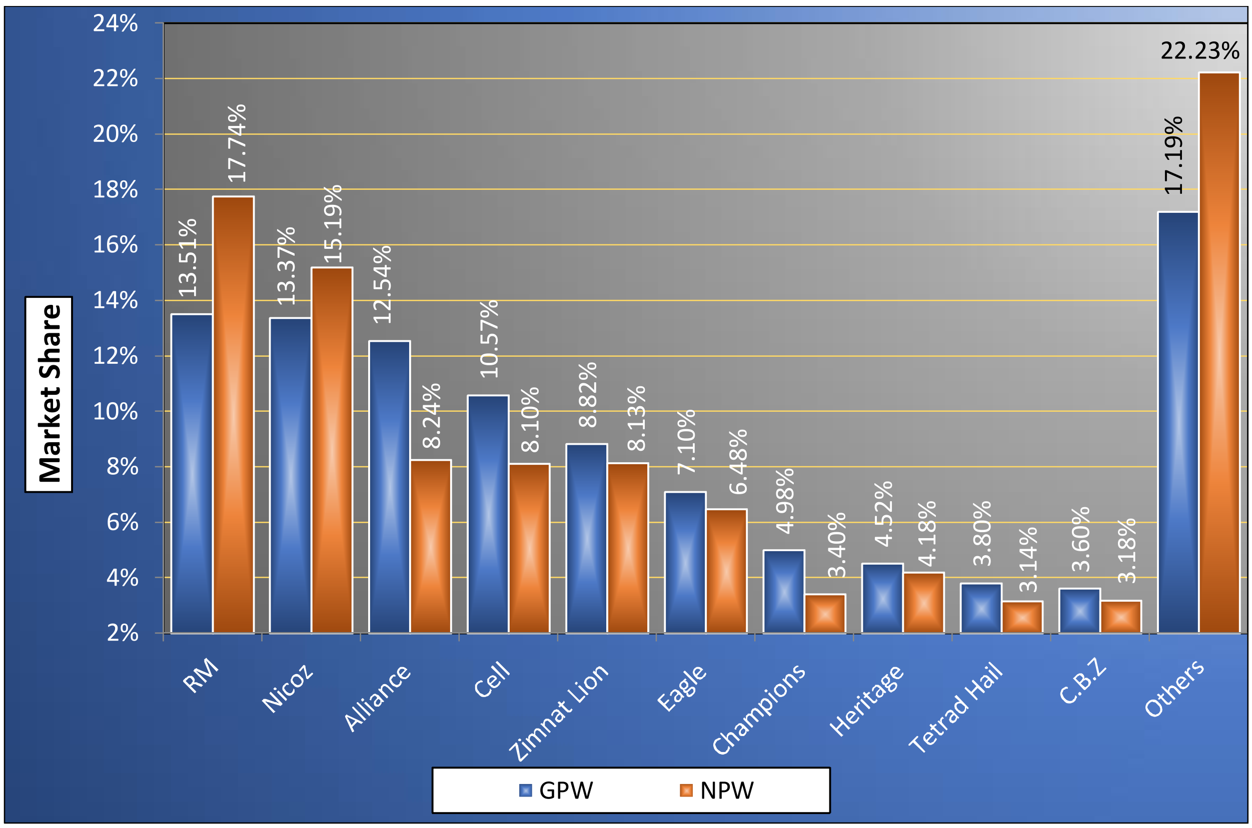
Although the industry average current ratio for non-life insurers was above the benchmark of 100%, the liquidity position of the sector was seriously compromised by illiquid current assets such as premium debtors. This resulted in the sector recording an industry average acid test ratio of 41.43% as at 31 December 2013, reflecting a deterioration from 44.30% reported as at 30 September 2013. The acid test ratio of 41.43% reported as at 31 December 2013 implies that, the non-life direct insurers had readily liquid current assets to cover on average only forty one cents out of every dollar worth of their current liabilities.

As shown in Appendix 1C, the acid test ratios for individual insurers ranged from 0.32% to 64.58% with Altfin Insurance Company, Heritage Insurance Company, and KMFS Insurance Company, reporting the lowest acid test ratios of 0.32%, 1.50% and 7% respectively.

1.9. Market Share for Non-life Insurers

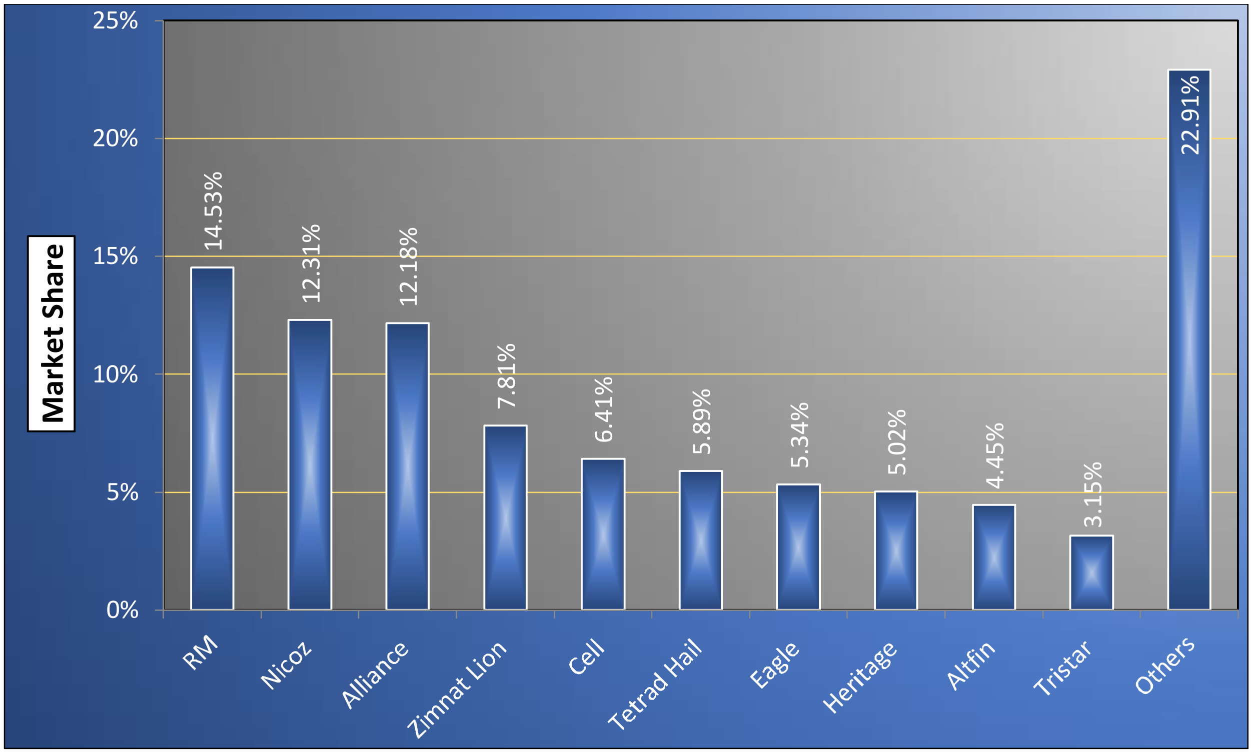
The market for non-life insurers remained unconcentrated with Herfindahl Indices of 0.09 in terms of both GPW and NPW for the year ended 31 December 2013. RM Insurance Company, Nicoz Diamond Insurance Company and Alliance Insurance Companies were the top three insurers with a combined market share of 49.99% and 41.17% in terms of GPW and NPW respectively. Figure 9 below shows the market share in terms of the business written during the year under review.

Figure 9: Market Share for Insurers in Terms of GPW and NPW



In terms of total assets, Nicoz Diamond Insurance Company, RM Insurance Company and Alliance Insurance Company were also the market leaders as shown in Figure 10 below. The three insurers commanded a combined market share of 39.56% in terms of total assets as at 31 December 2013. The market shares for all individual insurers are shown in Appendix 1C.

Figure 10: Market Share for Insurers in Terms of Total Assets



SECTION B

2. REINSURANCE COMPANIES

Please note that the figures for Zep-Re used in this report are only for the institution's Zimbabwean Country Office and not for the company as a whole.

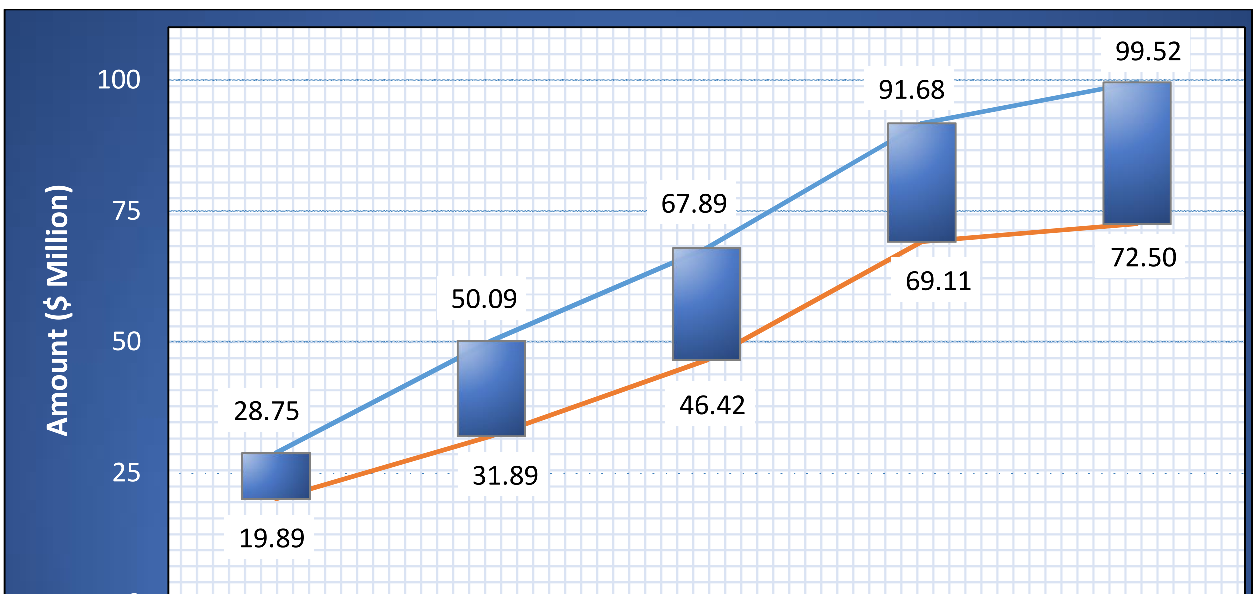
2.1. Number of Non-life Reinsurers

The number of registered reinsurers as at 31 December 2013 was ten (10), the same number reported as at 30 September 2013. Nine (9) reinsurers were operational. There were no significant developments in respect of the status of Horizon Reinsurance Company during the quarter under review.

2.2. Trend and Distribution of Business Written

Non-life reinsurers continued to witness increases in the volume of business written in terms of both GPW and NPW since the adoption of the multicurrency regime in 2009. The trend in business written is shown in Figure 11 below. Total gross premium written increased by 8.55% from $91.68 million for the year ended 31 December 2012 to $99.52 million for the year ended 31 December 2013. The growth in the volume of business written was mainly attributable to increases in business generated from fire and motor insurance which amounted to $12.60 million and $3.65 million respectively. The growth rate in GPW slowed down from 74.23%, 35.54%, and 35.04% in 2010, 2011 and 2012 respectively to 8.55% in 2013. This may be attributable to the macroeconomic challenges which were obtaining in the country during the year under review.

Figure 11: Trend in Volume of Business Written Since 2009



	2009	2010	2011	2012	2013
GPW	28.75	50.09	67.89	91.68	99.52
NPW	19.89	31.89	46.42	69.11	72.50

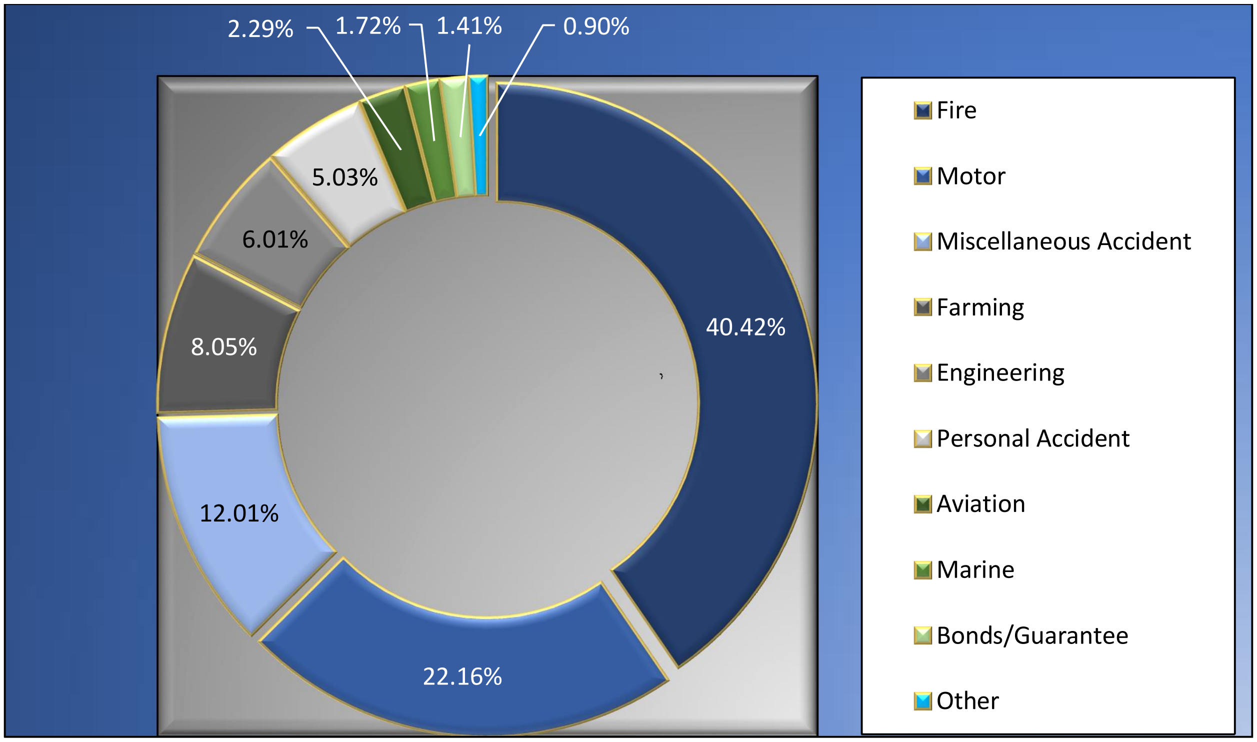
The fastest growing classes of insurance in terms of volumes of business generated by reinsurers were bonds/guarantees as well as fire insurance. On the other hand, hail and hire purchase insurance recorded the largest shrinkages in business generated in terms of gross premium written. Table 3 below shows growth rates in different classes of business.

Table 3: Gross Premium Written by Class of Business

Class of Business	Gross Premium Written ($)		Percentage Change
	31 December 2012	31 December 2013	
Aviation	3,882,235	2,280,452	-41.26%
Bonds/Guarantee	487,398	1,405,643	188.40%
Engineering	5,601,548	5,985,886	6.86%
Farming	7,502,484	8,013,166	6.81%
Fire	27,625,105	40,227,199	45.62%
Hail	1,308,020	34,180	-97.39%
Health	459,809	209,122	-54.52%
Hire Purchase	160,159	53,452	-66.63%
Marine	4,076,153	1,709,294	-58.07%
Miscellaneous Accident	16,931,781	11,947,669	-29.44%
Motor	18,398,791	22,050,572	19.85%
Personal Accident	4,550,235	5,004,140	9.98%
Personal Liability	696,880	599,937	-13.91%
Total	**91,680,597**	**99,520,712**	**8.55%**

Fire and motor insurance remained the dominant classes of business for non-life (short term reinsurers) reinsurers. The two classes of business contributed a total of 62.58% of total gross premium written during the year ended 31 December 2013. Fire insurance business accounted for 40.42% of total gross premium written while motor insurance business accounted for 22.16% of the same. The proportions of business attributable to different classes of business are shown diagrammatically in Figure 12 below.

Figure 12: Distribution of Reinsurers' GPW by Business Class



2.3. Capitalization

As at 31 December 2013, only New Reinsurance Company was not compliant with the minimum capital requirement of $1.5 million effective 30 June 2014. Table 4 below shows the capital position for non-life reinsurers. The figures shown in respect of PTA Reinsurance Company (Zep-Re) are in respect of the company's country office in Zimbabwe.

As at 31 December 2013 all operational short term reinsurers reported solvency margins which were compliant with the prudential minimum of 25%, except for Zep-Re's Zimbabwe country office. The industry average solvency margin for non-life reinsurers as at 31 December 2013 was 92.10% reflecting an improvement from 75.10% reported as at 30 September 2013. Figure 13 below shows the solvency margins for the non-life reinsurers. Other indicators of soundness in terms of capital adequacy are shown in Appendix 2C.

Table 4: Capital Positions for Non-life Reinsurers

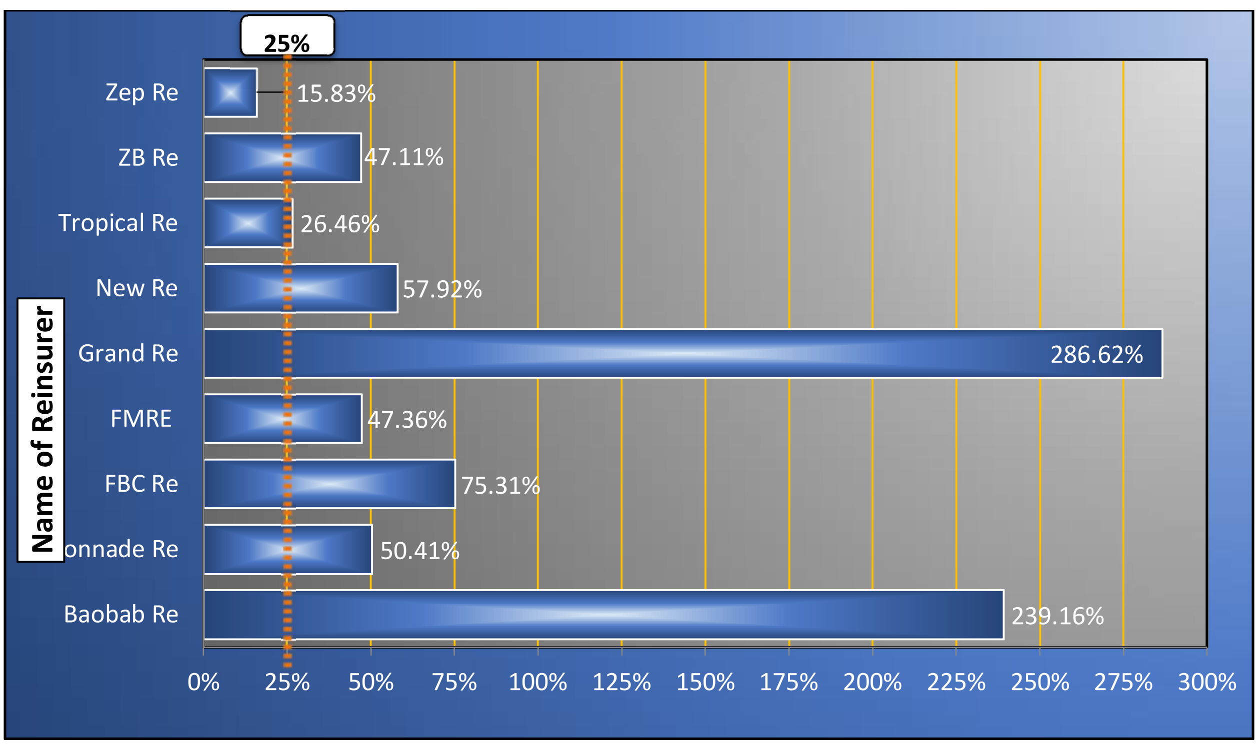
Name of Company	Reported Capital Position ($)			
	31 Dec 2012	30 Jun 2013	30 Sep 2013	31 Dec 2013
Baobab Reinsurance Company	27,273,895	27,969,938	30,090,562	30,127,167
Colonnade Reinsurance Company	514,471	1,507,085	1,457,969	1,542,528
FBC Reinsurance Company	6,987,219	8,201,857	8,173,776	8,729,648
FMRE Property & Casualty	5,108,325	5,701,815	5,872,433	5,984,592
Grand Reinsurance Company	9,744,262	9,708,989	9,580,891	9,443,454
New Reinsurance Company	367,415	1,018,000	1,007,000	980,000
Tropical Reinsurance Company	1,778,706	2,347,220	2,239,290	2,323,580
ZB Reinsurance Company	3,773,224	6,565,150	6,722,390	7,015,442
PTA Reinsurance Company (Zep Re)	983,000	1,078,660	552,587	626,075

**The audited capital position for Zep Re as at 31 December 2012 was $78.77 million.*

Key:

Green	The reinsurer was compliant with the minimum capital requirement of $1.5 million effective 30 June 2014.
Amber	The reinsurer was compliant with the minimum capital requirement of $0.75 million effective 30 June 2013, but was yet to comply with $1.5 million effective 30 June 2014.
Red	The reinsurer was not compliant with the minimum capital requirement of $0.75 million effective 30 June 2013.

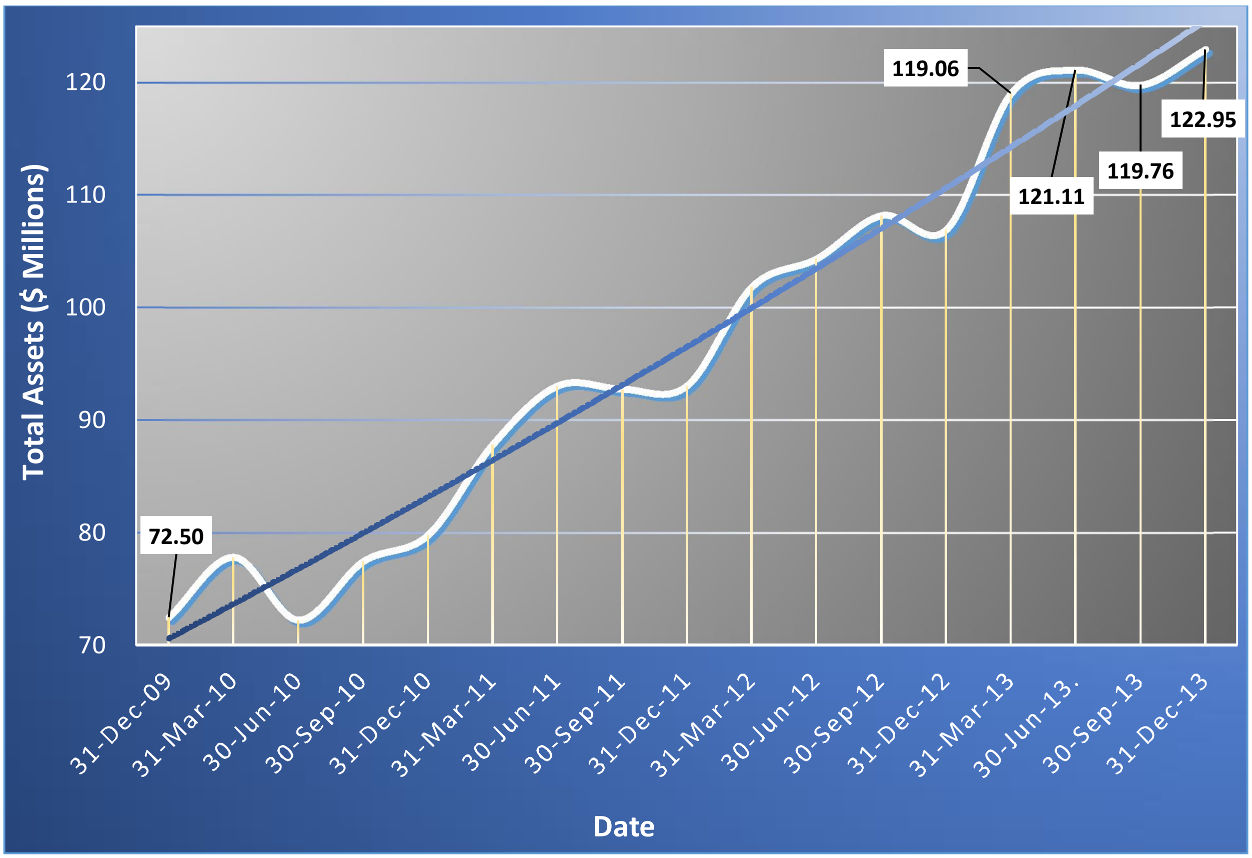
Figure 13: Solvency Margin for Reinsurers



2.4. Asset Quality

Total assets for non-life reinsurers continued on the upward trend which started following the introduction of the multi-currency regime in 2009. Figure 14 below shows the trend in total assets since 2009. During the quarter under review there was a 2.67% marginal increase in total assets from $119.76 million as at 30 September 2013 to $122.95 million as at 31 December 2013.

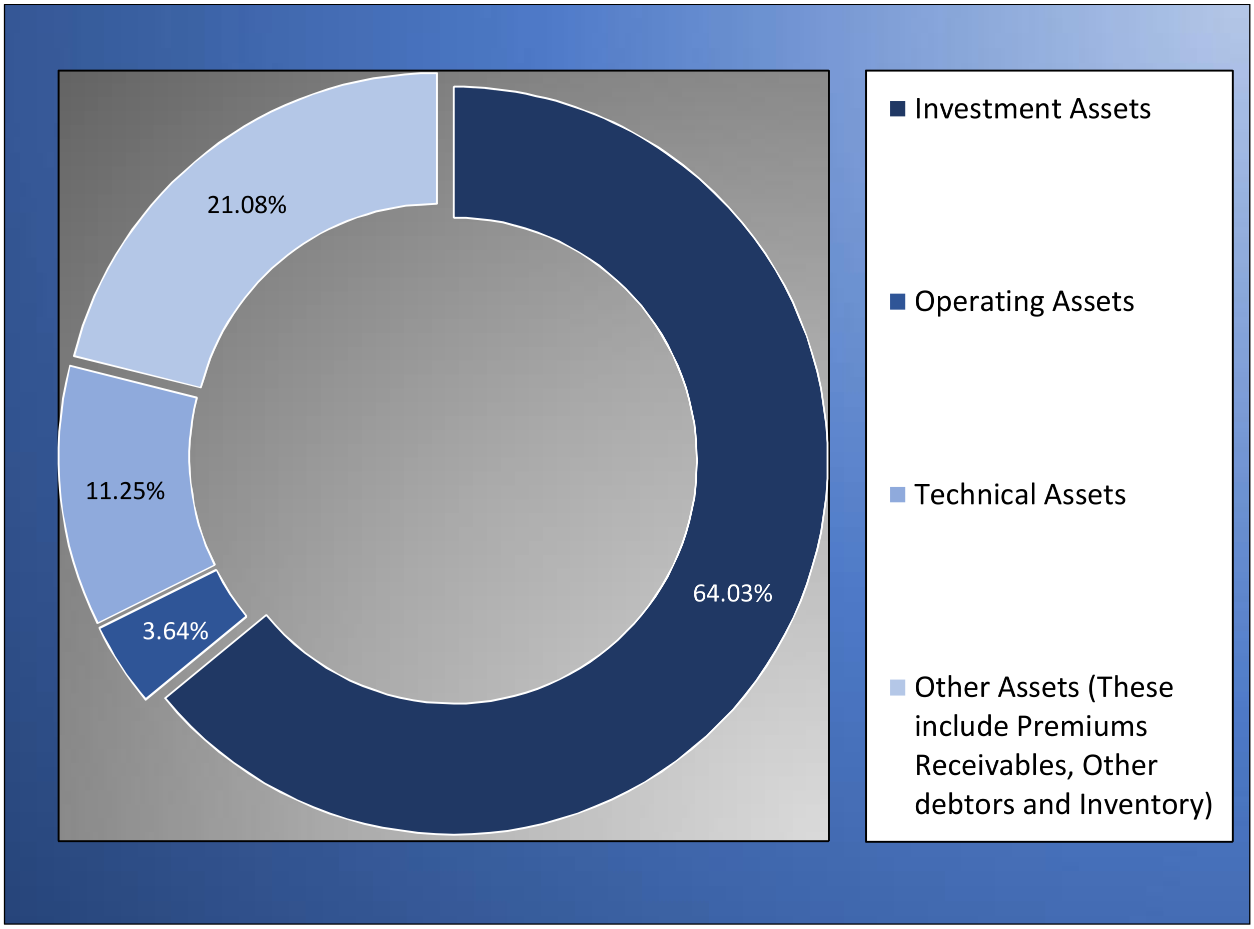
Figure 14: Trend in Total Assets for Non-life Reinsurers since 2009



Investment assets accounted for 64.03% of the total asset base as at 31 December 2013, which ratio compared favourably with that of 35.55% reported by direct short term insurers. This implies that reinsurers' capacity to generate income from their assets was better than that of short term insurers. Figure 15 below shows the distribution of reinsurers' total assets as at 31 December 2013. Investments to assets for individual reinsurers ranged from 13.88% to 77.48%.

As at 31 December 2013, all short term reinsurers did not have any investment in prescribed assets. This is in contravention of the requirement for short term insurers to invest a minimum of 5% of their assets in prescribed assets.

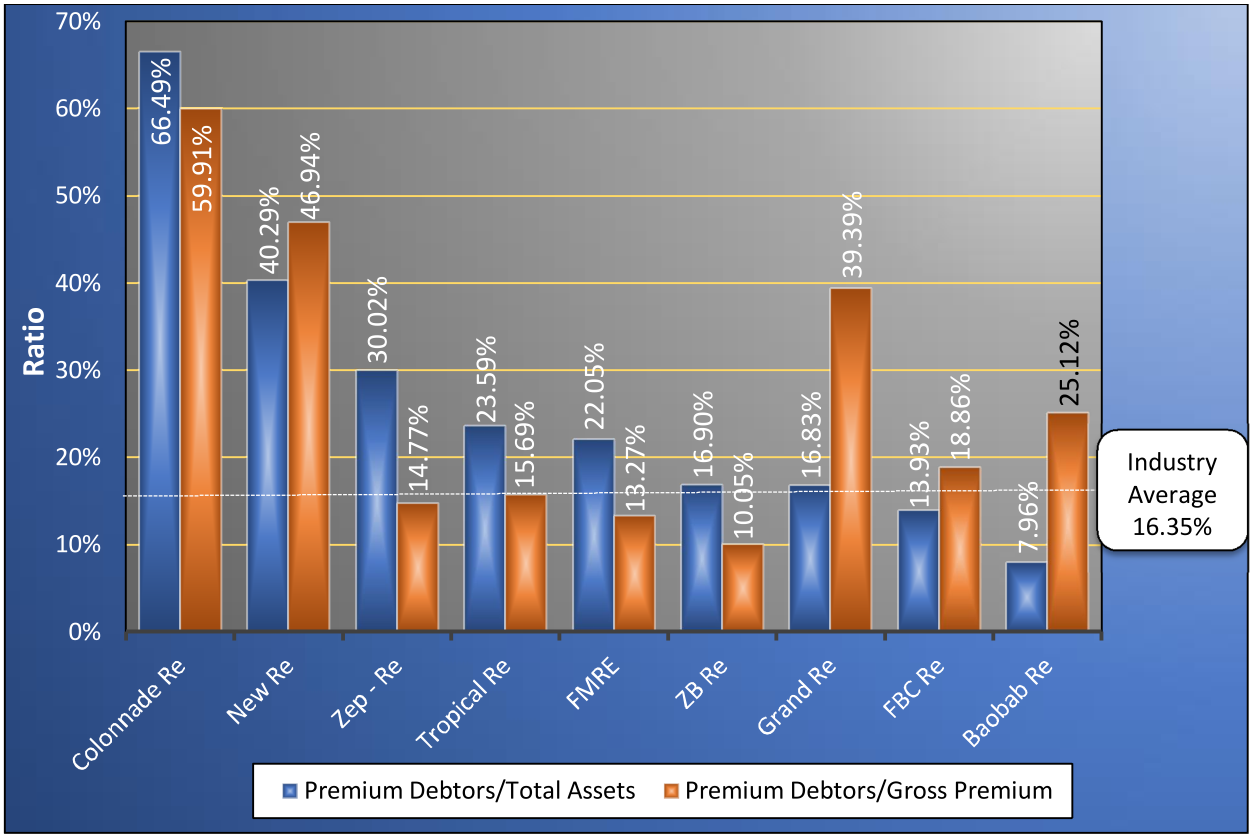
Figure 15: Breakdown of Non-life Reinsurers' Total Assets



The industry average premium debtors to assets ratio improved marginally from 17.91% as at 30 September 2013 to 16.35% as at 31 December 2013. Notwithstanding the above mentioned improvement, some short term reinsurers such as Colonnade Reinsurance Company and New Reinsurance Company had significant portions of their assets tied up in premium debtors as shown by their premium debtors to total assets ratios in Figure 16 below. This may compromise the quality of the said reinsurers' assets as well as their solvency, especially given that these entities have the lowest capital levels and the premium debtors may not be readily available to support the operations of the reinsurers on a day to day basis.

The same reinsurers also reported high level of premium debtors to GPW compared to the industry average of 20.20%. Such high ratios mean that the said reinsurers have faced challenges in realizing cash from the business they wrote and this may result in liquidity challenges.

Figure 16: Premium Debtors to Assets and Premium Debtors to GPW Ratios



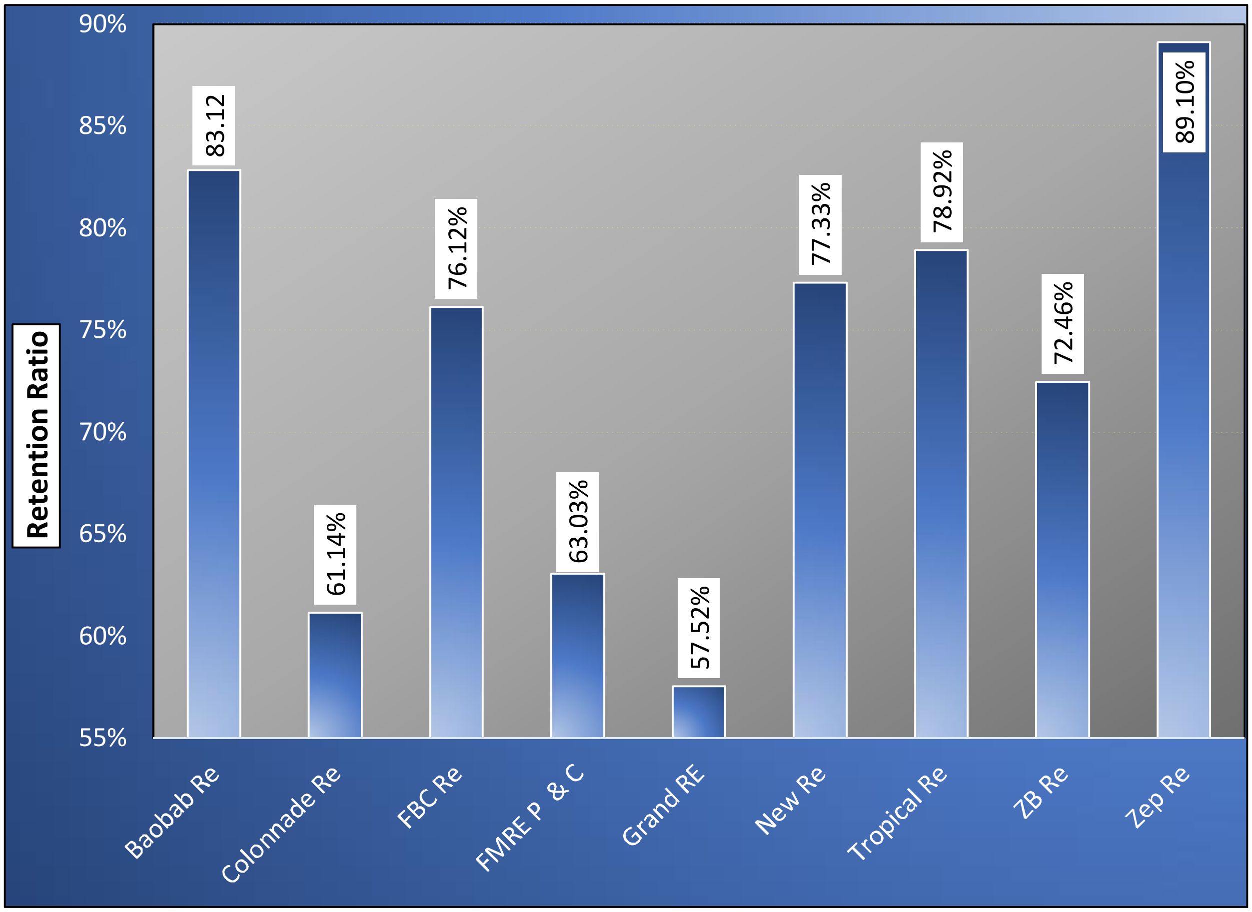
2.5. Retrocession

There were no significant changes in the risk appetite of non-life reinsurers with an industry average retention ratio of 72.85% for the year ended 31 December 2013 compared to 75.38% reported in the comparative period in 2012. Retention ratios for individual insurers ranged from 57.52% and 89.10% as shown in Figure 17 below.

The industry average retention ratio for reinsurers was significantly above that of 52.56% reported by direct short term insurers. This may imply that reinsurers had more retention capacity compared to direct short term insurers.

On average total retrocession creditors accounted for 55.49% of total retrocession premiums. However, Baobab Reinsurance Company was owing reinsurers premiums in respect of business written prior to 1 January 2013, with retrocession creditors accounting for 269.66% of retrocession premiums. This may compromise the effectiveness of the retrocession arrangements (See ratios for all reinsurers in Appendix 2C).

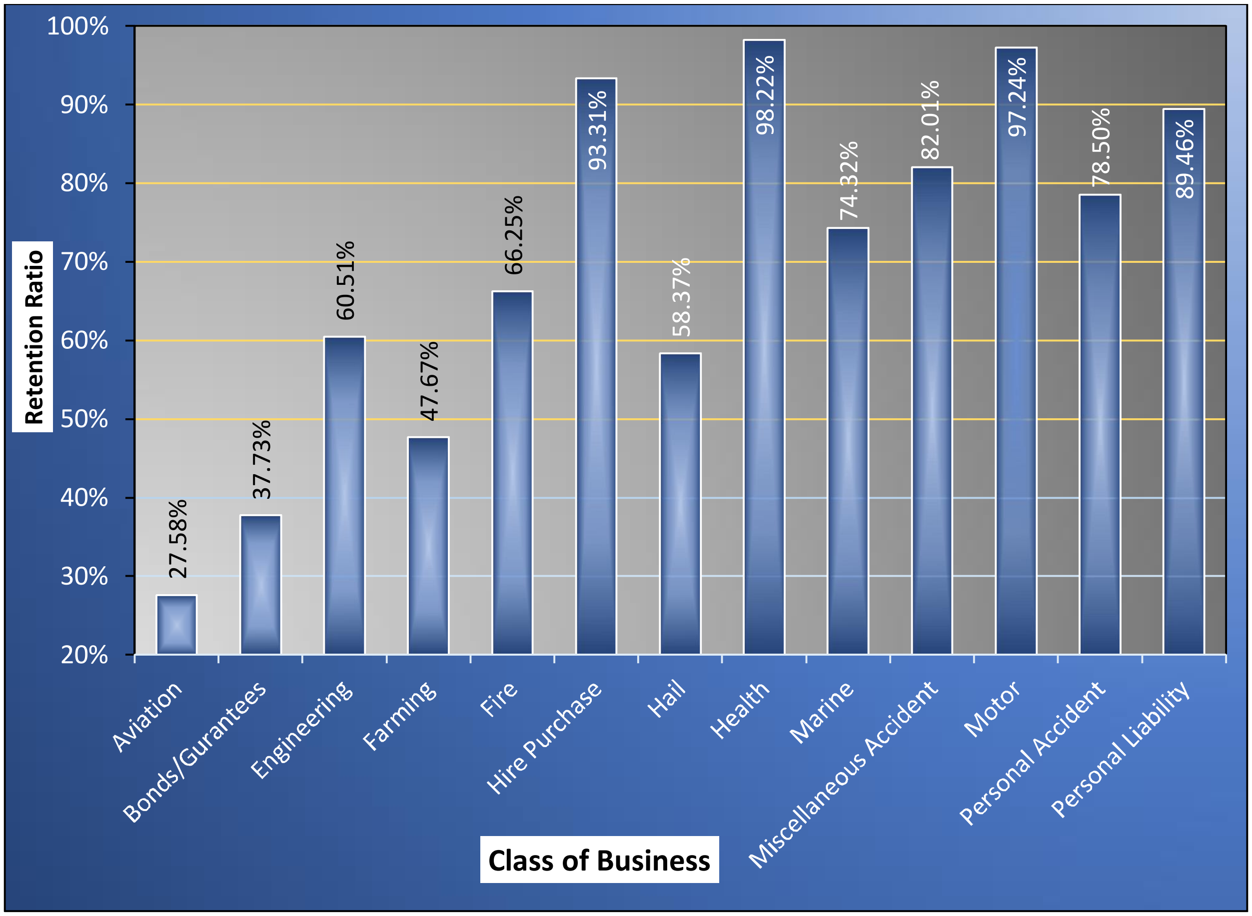
Figure 17: Retention Ratios for Reinsurers



Retrocessionaires' share of outstanding claims accounted for 66% of all the outstanding claims as at 31 December 2013. This means that for every dollar worth of outstanding claims, retrocessionaires will be liable to pay about sixty six cents. The ratios for different reinsurers are shown in Appendix 2C. The ratio of retrocessionaires' share of outstanding claims to total outstanding claims for reinsurers was above that of 60.72% reported by direct short term insurers. However, a higher ratio implies relatively more exposure to inherent credit risk.

Non-life reinsurers recorded the highest risk appetite in health and motor insurance with retention ratios of 98.22%, and 97.24% respectively. On the other hand, aviation insurance and bonds/guarantees recorded the lowest retention ratios. Figure 18 below shows the non-life reinsurers' average retention ratios in different classes of business for the year ended 31 December 2013.

Figure 18: Retention Ratios by Class of Insurance Business



2.6. Actuarial Liabilities

Total unearned premium reserves (UPR) decreased marginally from $15.63 million as at 30 September 2013 compared to $14.96 million as at 31 December 2013. There was a significant increase in incurred but not reported (INBR) claims from $5.25 million as at 30 September 2013 to $14.78 million as at 31 December 2013.

The industry average technical reserves to capital ratio improved marginally from 45.53% as at 30 September 2013 to 44.54% as at 31 December 2013. Given that the average technical reserves to capital ratio was below the prudential benchmark of 100%, the non-life reinsurance industry was considered to be having adequate capital to withstand possible adverse events. However, Tropical Reinsurance Company and FBC Reinsurance Company reported ratios which were above the prudential benchmark of 100% indicating that their capital may not be enough to withstand adverse events (See Appendix 1C).

The industry average outstanding claims to capital was 31.93% as at 31 December 2012 reflecting a deterioration from 29.73% reported as at 30 September 2013. Notwithstanding the deterioration, the ratio was significantly within the prudential benchmark of 100%, indicating that reinsurers, on average, had adequate capital to meet all outstanding claims. As shown in Appendix 2C, Tropical Reinsurance Company was the only company that reported a ratio above 100% indicating that its capital will fall short if it was to be used to settle all outstanding claims.

2.7. Earnings

Total profit after tax increased from $0.66 million for the year ended 31 December 2012 to $6.56 million for year ended 31 December 2013. The increase in profit after tax was mainly attributable to an increase in investment income coupled with decreases in operating expenses which amounted to $1.54 million and $1.28 million respectively. Return on equity and return on assets improved from 1.14% and 0.62% for the year ended 31 December 2012 to 9.82% and 5.34% respectively during the year under review. Although, the reinsurance sector reported a positive total profit after tax figure, two reinsurers namely Baobab Reinsurance Company and Grand Reinsurance Company reported losses during the year under review.

The profitability of the core business of reinsurers i.e. underwriting, improved tremendously as evidenced by the increase in total underwriting profits from negative $0.75 million for the year ended 31 December 2012 to $3.62 million during the year under review. This translated into an improvement in the underwriting margin from -1.13% to 5.09%.

The industry combined ratio decreased from 101.13% for the year ended 31 December 2012 to 94.91% for the year under review, further confirming the improvement in underwriting profitability. The improvement in underwriting profitability was mainly attributable to decreases in the expense and loss ratios from 29.78% and 44.45% for the year ended 31 December 2012 to 26.19% and 40.43% respectively for the year ended 31 December 2013.

Investment income accounted for 5.01% of net premium written (NPW) during the year under review. In view of the foregoing observation, the income of short term reinsurers was considered sustainable since the bulk of it was generated from the reinsurers' core business of underwriting.

2.8. Liquidity

Total liquid assets increased from $24.89 million as at 30 September 2013 to $28.76 million as at 31 December 2013. Notwithstanding the increase, the liquid assets remained concentrated in three reinsurers, namely FBC Reinsurance Company, ZB Reinsurance Company and FMRE Property and Casualty. These reinsurers accounted for 76.26% of the total liquid assets reported as at 31 December 2013.

Total working capital for non-life reinsurers increased marginally from $15.66 million as at 30 September 2013 to $16.50 million as at 31 December 2013. Of all the non-life reinsurers, only Baobab Reinsurance Company reported a negative working capital position indicating that the reinsurer's liquidity position may be compromised.

The industry average current ratio remained largely unchanged at 131.70% as at 31 December 2013 compared to 131.74% reported as at 30 September 2013. The liquidity position for short term reinsurers after taking cognizance of illiquid current assets improved as evidenced by an increase in the acid test ratio from 50.44% as at 30 September 2013 to 55.29% as at 31 December 2013. The reported ratio indicates that for every dollar worth of current liabilities the short term reinsurers had on average fifty five cents readily liquid assets to match the said liabilities.

Baobab Reinsurance Company, Grand Reinsurance Company and Colonnade Reinsurance Company reported the lowest acid test ratios, which may compromise their liquidity situation.

2.9. Market Share for Reinsurers

The market for non-life reinsurers remained moderately concentrated with Herfindahl Indices of 0.15 in terms of gross premium written and net premium written for the year ended 31 December 2013. As shown in Figure 19 below, the market leaders in terms of gross premium written were ZB Reinsurance Company, FMRE Property and Casualty, and FBC Reinsurance Company. Baobab Reinsurance Company slipped out of the top three reinsurers in terms of GPW.

In terms of total assets, Baobab Reinsurance Company continued to record the highest market share followed by FBC Reinsurance Company and Grand Reinsurance Company. The market shares in terms of total assets are shown in Figure 20 below.

Figure 19: Market Share for Reinsurers in Terms of GPW and NPW

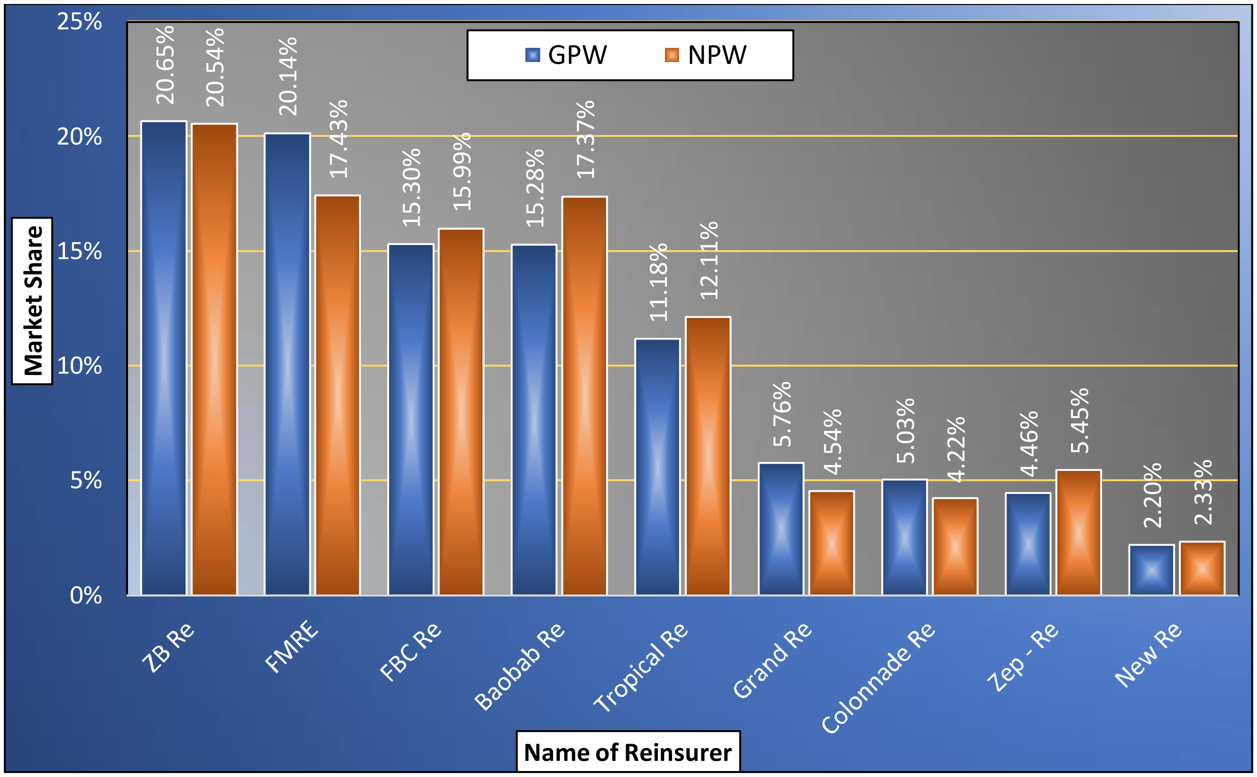
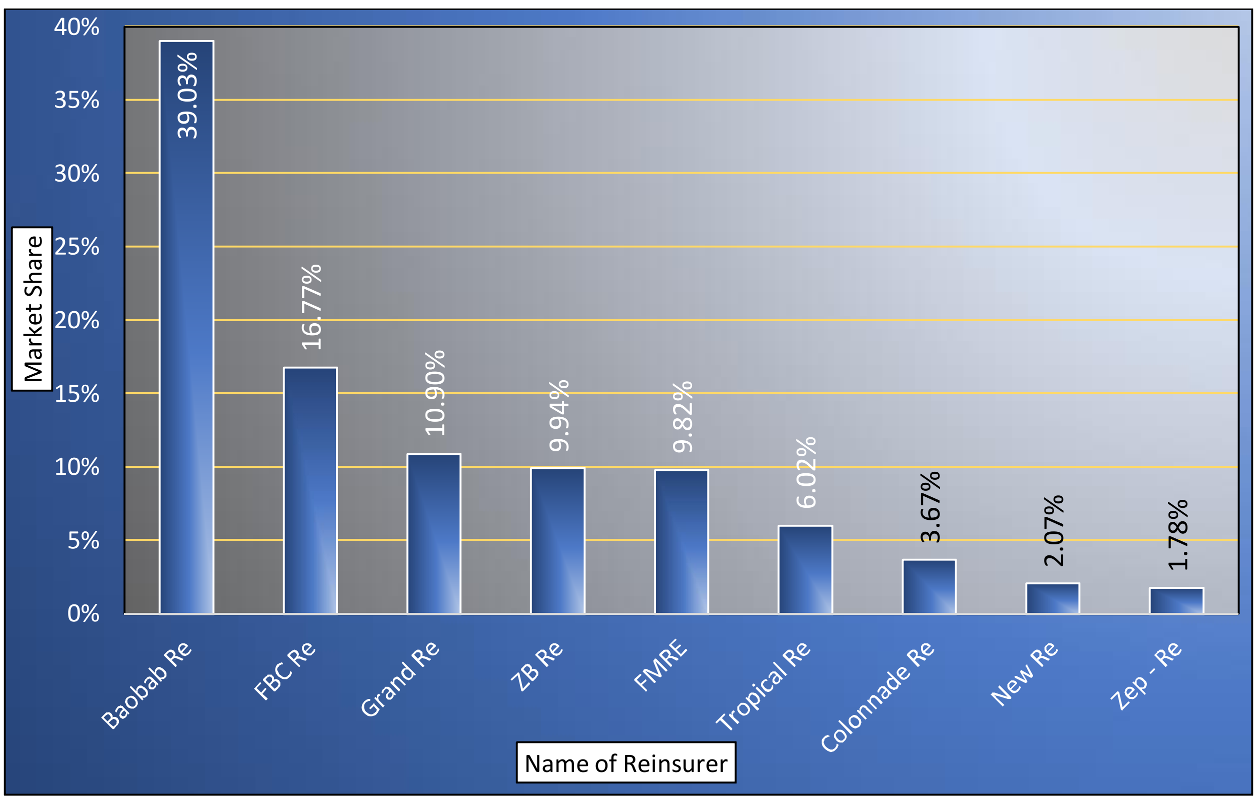


Figure 20: Market Share for Reinsurers in Terms of Total Assets



SECTION C

3. INSURANCE BROKERS

3.1 Number of Insurance Brokers

Following the registration of Revival Insurance Brokers during the quarter under review, the number of registered insurance brokers increased from twenty nine (29) reported as at 30 September 2013 to thirty (30) as at 31 December 2013. (Note that Matden Reinsurance brokers is classified under insurance brokers since it is not conducting reinsurance broking). At the time of compilation of this report Revival Insurance Brokers was yet to be authorised to commence operations.

3.2 Business Written

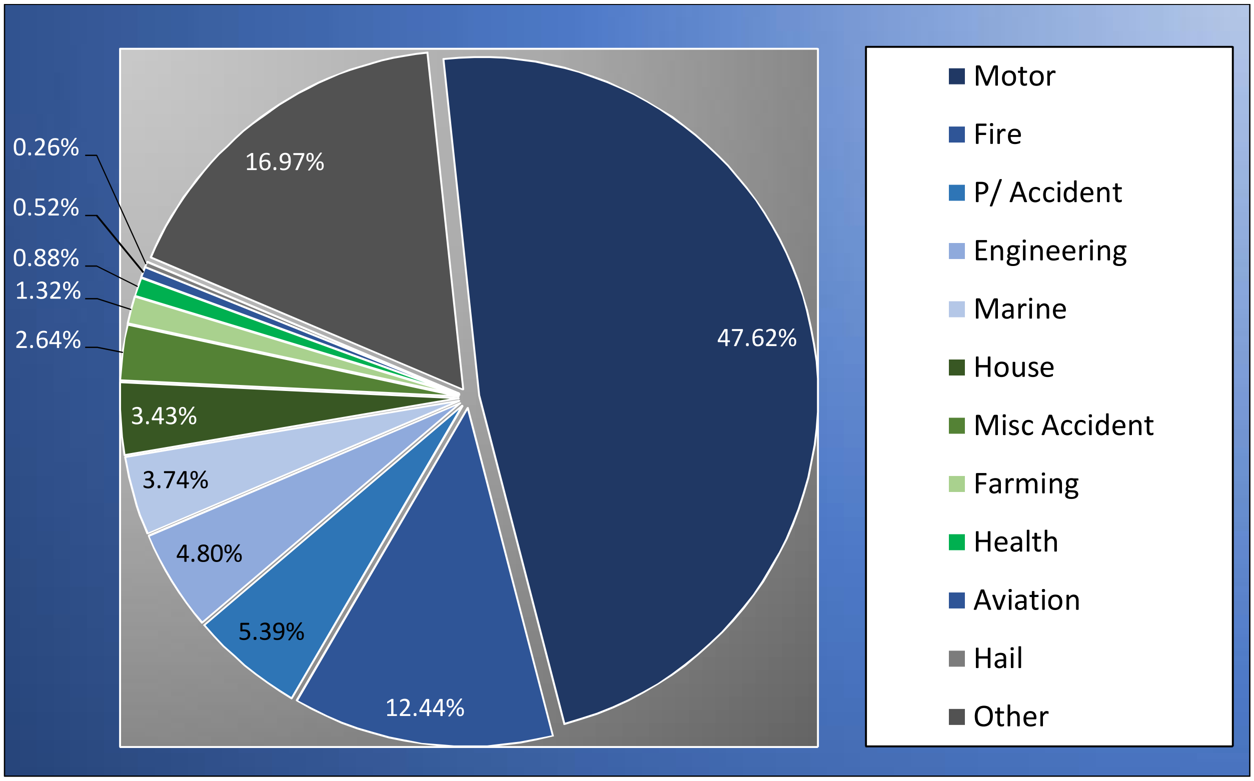
Insurance brokers wrote total premium amounting to $94.44 million for the year ended 31 December 2013 which constituted 45.01% of total gross premium written by direct short term insurers. This implies that the bulk of the business generated by the latter was written through their agents and direct clients. The net brokerage income generated from the premium written amounted to $15.93 million and accounted for 16.87% of total premium written.

Table 5: Indicators of Business Written for Insurance Brokers

Indicator	Amount for the year ended 31 December 2013 ($)
Premium Written	94,439,708
Brokerage Commission	16,689,767
Premium Written Less Commission	77,749,941
Commission Incurred	538,909
Net Brokerage Commission	16,150,858
Other Income	1,418,013
Operating Expenses	16,840,513
Profit Before Tax	728,358
Taxation	289,273
Profit After Tax	**439,085**

The major sources of business for insurance brokers were motor and fire insurance as shown in Figure 21 below. The two business classes accounted for a total of 60.06% of total premium written by insurance brokers.

Figure 21: Distribution of Insurance Brokers' Gross Premium Written by Business Class



3.3 Earnings

Total profit after tax for insurance brokers amounted to $0.44 million for the year ended 31 December 2013. The profit after tax translated into an industry average return on equity (ROE) and return on assets (ROA) of 5.50% and 1.93% respectively. Net brokerage income accounted for 91.95% of total income. This shows that the income of the insurance brokers is sustainable since it was mainly generated from the insurance brokers' core business. A total of ten insurance brokers out of the twenty nine operational institutions reported losses during the year ended 31 December 2013.

3.4 Capitalization

Of all the operating insurance brokers only four namely, Insuraserve (Private) Limited, Matden Reinsurance Brokers (Private) Limited, Rainbow Insurance Brokers (Private) Limited and SATIB Insurance Brokers reported capital positions which were below $100,000 as at 31 December 2013. The capital positions for the individual insurance brokers ranged from $7,004 to $808,157.

The capital position for the brokers is shown in Table 6 below.

Table 6: Reported Capital Levels for Insurance Brokers

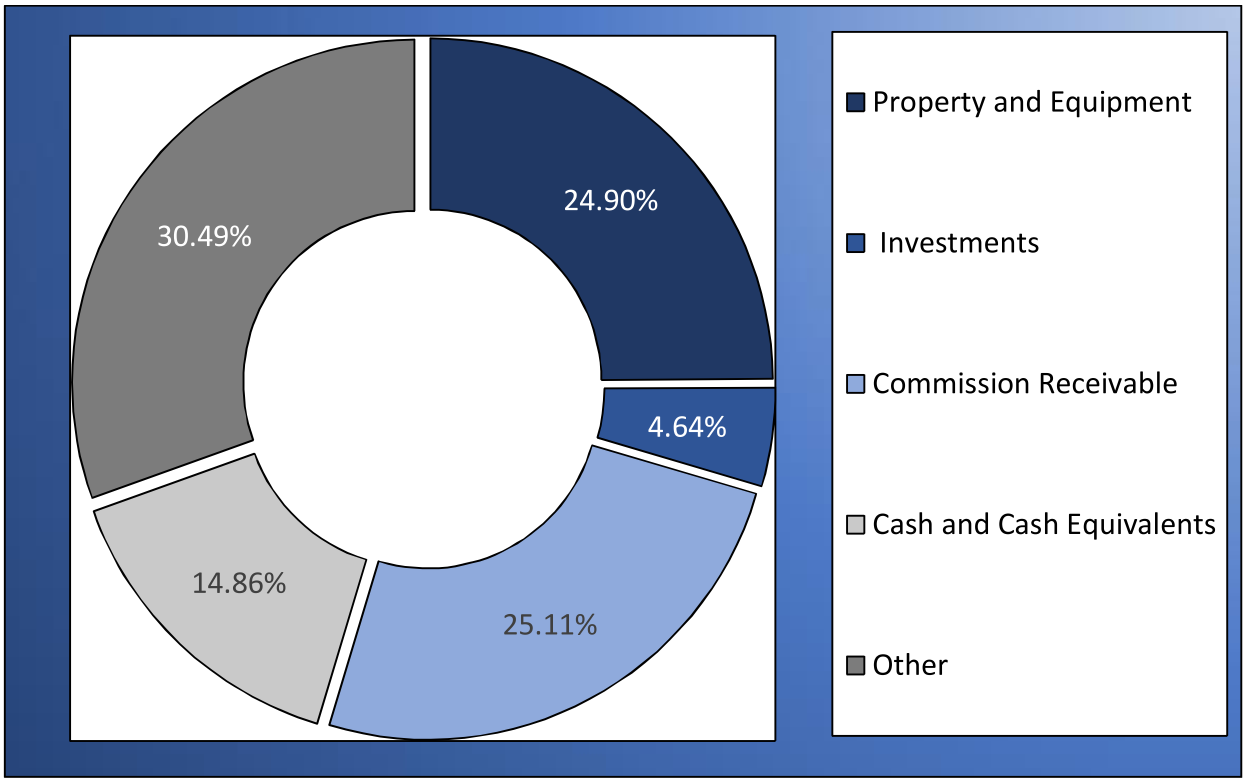
Name Insurance Broker	31-Dec-12	30-Jun-13	30-Sep-13	31-Dec-13
1. Alexander Forbes Risk Services	425,997	333,758	333,628	531,600
2. Ambassador Insurance Brokers	145,839	117,110	129,123	126,976
3. Amour Khan Insurance Brokers	14,968	136,399	136,960	138,323
4. Auto & General Insurance Brokers	433,900	445,900	445,290	445,980
5. Broksure Insurance Brokers	51,627	117,709	111,548	103,050
6. Capitol Insurance Brokers	375,736	523,677	546,706	598,614
7. Care Insurance Brokers	133,350	131,547	132,722	121,841
8. Eaton & Youngs (Private) Limited	313,831	460,122	491,455	441,502
9. Eureka Insurance Brokers	236,063	237,722	246,441	330,873
10. Glenrand MIB Zimbabwe	655,914	364,962	349,431	284,631
11. Goldstick Insurance Brokers	66,551	107,582	117,782	103,164
12. Hostcare Insurance Brokers			145,965	146,645
13. HRIB (Private) Limited	106,415	346,884	145,179	225,452
14. Hunt Adams & Associates	(107,013)	(17,877)	80,676	105,002
15. Insuraserve (Private) Limited	160,963	340,639	415,234	85,669
16. L. A. Guard Insurance Brokers	95,158	101,307	102,332	102,290
17. Marsh Insurance Brokers	580,570	859,008	685,020	781,239
18. Matden Reinsurance Brokers	11,337	7,762	10,843	9,939
19. Minerva Risk Solutions*	2,493,162	1,448,615	672,692	808,157
20. Momentum Insurance Brokers	363,232	490,260	373,269	506,492
21. Navistar Insurance Brokers	93,016	105,852	109,232	100,310
22. Paul Mkondo Insurance Brokers	133,567	161,819	167,315	161,465
23. Perpro Insurance Brokers	98,812	144,946	157,965	162,003
24. Progressive Insurance Brokers	624,873	653,518	654,910	726,971
25. Rainbow Insurance Brokers	6,842	8,678	10,847	7,004
26. SATIB Insurance Brokers	1159,944	163,359	177,368	50,111
27. TIB Insurance Brokers	57,817	116,656	103,123	102,662
28. Victory Insurance Brokers	328,580	438,646	431,511	408,610
29. Zimbabwe Insurance Brokers	298,601	300,956	293,739	264,250

**The capital base as at 31 December 2012 was for the holding company Aon Zimbabwe.*

3.5 Asset Quality

Total assets for insurance brokers decreased from $23.79 million as at 30 September 2013 to $22.77 million as at 31 December 2013. The asset base for insurance brokers was mainly skewed towards commission receivable as well as property and equipment which accounted for 25.11% and 24.90% of total assets. Investments constituted a paltry 4.64% of total assets. Figure 22 below shows the breakdown of assets as at 31 December 2013.

Figure 22: Breakdown of Insurance Brokers' Total Assets



3.6 Market Share for Insurance Brokers

The market for insurance brokers was considered unconcentrated with Herfindahl Indices of 0.07 and 0.06 in terms of brokerage income and total assets respectively. The market leaders in terms of brokerage income remained Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and Alexander Forbes Risk Services Zimbabwe with market shares of 16.62%, 9.18% and 8.72% respectively as shown in Figure 23 below. In terms of total assets Minerva Risk Solutions, Hunt Adams and Alexander Forbes Risk Services Zimbabwe were the market leaders as shown in Figure 24 below.

Figure 23: Market Share in Terms of Net Brokerage Income and Premium Written

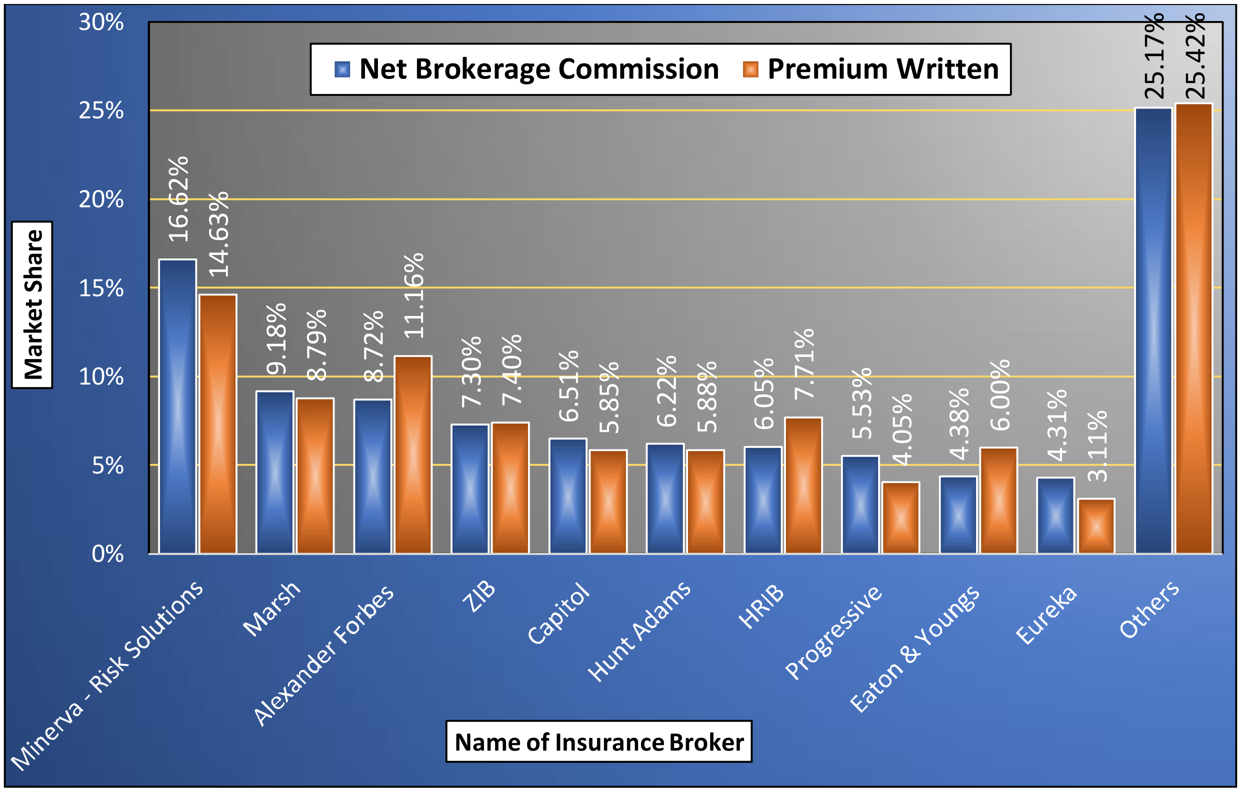
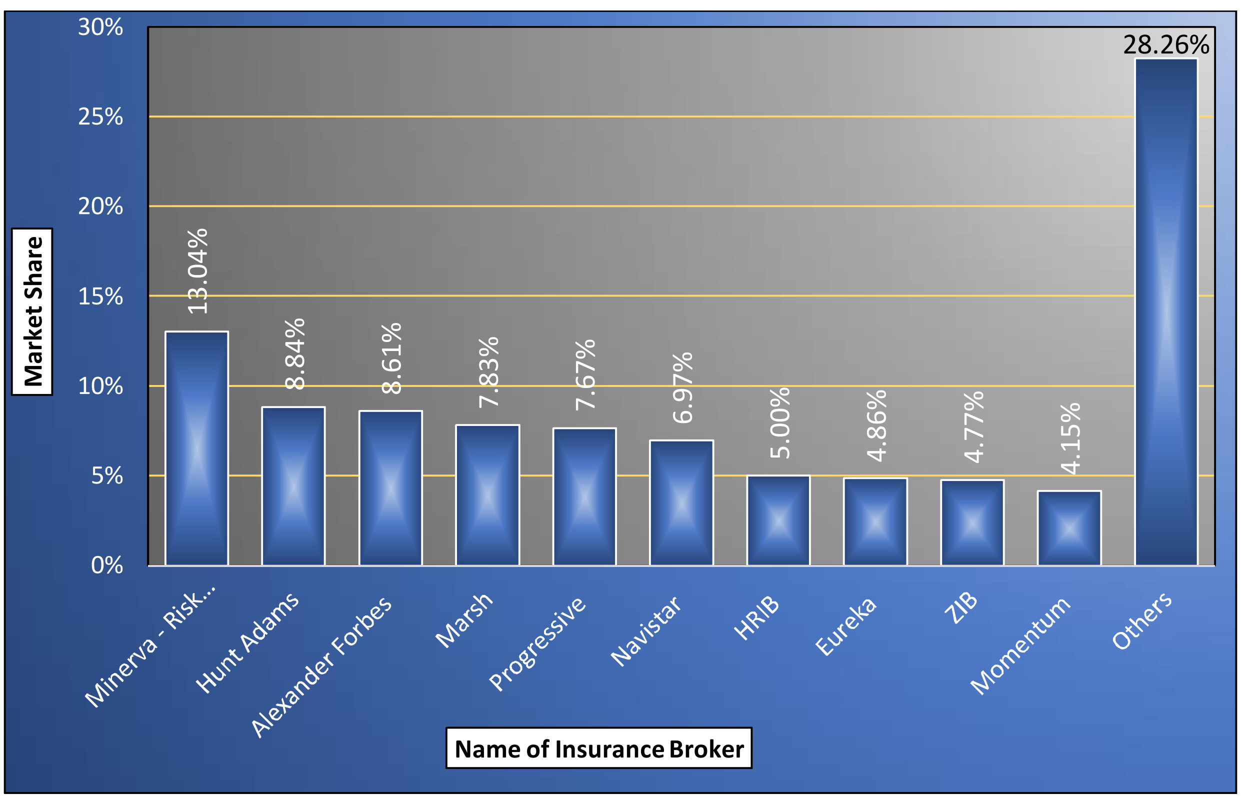


Figure 24: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D

4. REINSURANCE BROKERS

4.1 Number of Reinsurance Brokers

There were three registered reinsurance brokers as at 31 December 2013, reflecting no change from the number reported as at 30 September 2013.

4.2 Business Written

Reinsurance brokers wrote business with total premiums amounting to $52.72 million for the year ended 31 December 2013. The business generated by reinsurance brokers in terms of total premium constituted 52.98% of total gross premium written by non-life reinsurance companies. This implies that slightly more than half of the short term reinsurance companies' business was generated through reinsurance brokers.

The net brokerage commission generated from the business written amounted to $2.55 million during the year under review and accounted for 4.83% of total premium. Table 7 shows the business written by reinsurance brokers during the year under review.

Table 7: Indicators of Business Written for Reinsurance Brokers

Indicator	31 December 2013
Premium Written	52,721,461
Brokerage Commission	12,466,655
Premium Written Less Commission	40,254,806
Commission Paid	9,917,936
Net Brokerage Commission	2,548,719
Other Income	102,035
Operating Expenses	1,746,035
Profit Before Tax	904,719
Taxation	235,072
Profit After Tax	669,647

4.3 Capitalization

All reinsurance brokers reported capital positions which were above $100,000 as at 31 December 2013. Table 8 below shows capital positions for the reinsurance brokers.

Table 8: Capital Levels for Reinsurance Brokers

Name of Company	Reported Capital Position ($)			
	31 Dec 2012	30 Jun 2013	30 Sep 2013	31 Dec 2013
1. Minerva Re (Private) Limited*	2,493,162	1,751,197	1,085,991	1,949,169
2. Pan African Re	155,847	271,257	304,669	363,915
3. Reinsurance Brokers International	125,461	127,076	130,786	152,328

****The capital base as at 31 December 2012 was for the then Aon Zimbabwe before its subsidiaries started reporting separately.***

4.4 Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers amounted to $0.67 million for the year under review. The total profit after tax translated into an industry average return on equity (ROE) and return on assets (ROA) of 27.16% and 3.81% respectively.

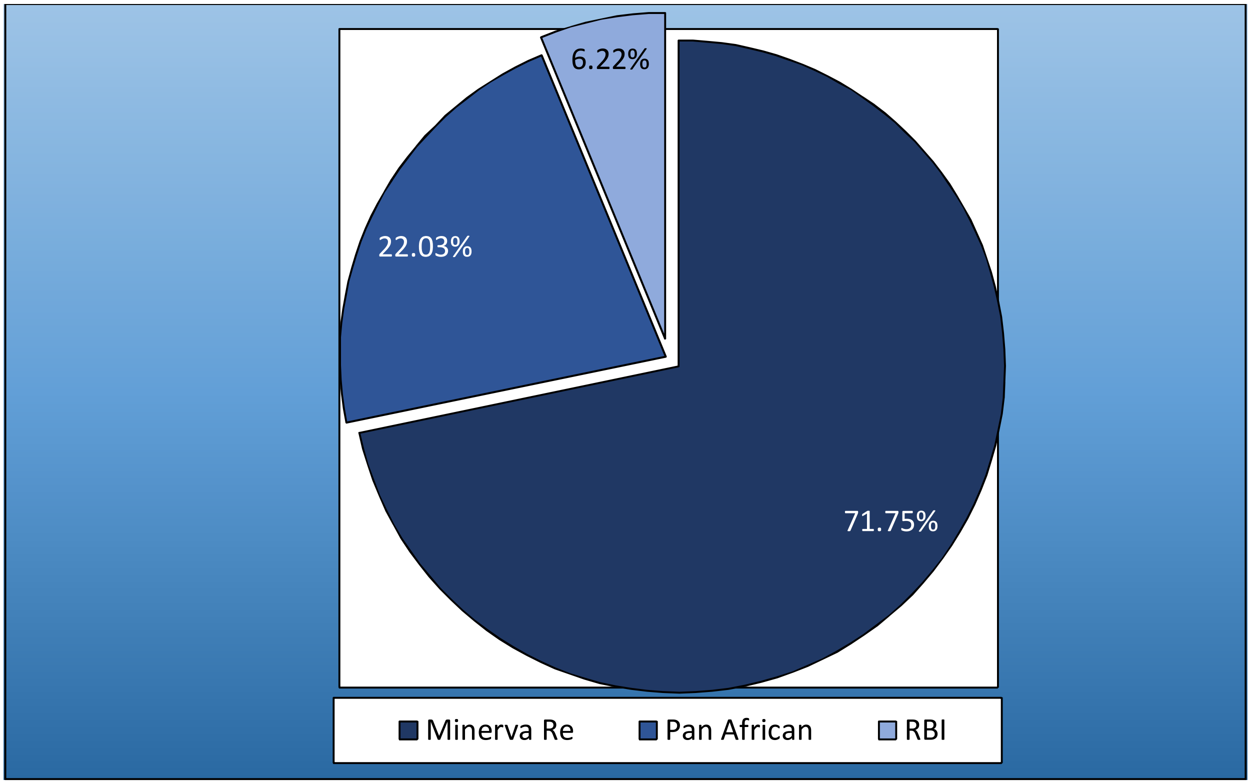
4.5 Asset Quality

Total assets for reinsurance brokers decreased by 5.93% from $18.68 million as at 30 September 2013 to $17.58 million as at 31 December 2013. The asset base for reinsurance brokers was mainly skewed towards debtors which were largely made up of commission receivable.

4.6 Market Share for Reinsurance Brokers

As shown in Figure 25 below, Minerva Re (Private) Limited continued to be the market leader with a market share of 71.5% in terms of net brokerage commission. Minerva Re (Private) Limited was also the market leader in terms of total assets and controlled 74.94% of the reinsurance broking market.

Figure 25: Market Share for Reinsurance Brokers in Terms of Net Brokerage Income



SECTION E

5. APPENDICES

Appendix 1A: Statement of Comprehensive Income for Non-life Insurers ($'000)

	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Safel	Sanctuary	Tetrad Hail	Tristar	Zimnat Lion	Total
GPW	**26,313**	**1,873**	**4,656**	**7,562**	**22,188**	**10,459**	**3,961**	**5,035**	**14,894**	**3,660**	**777**	**2,076**	**1,647**	**9,475**	**916**	**28,065**	**2,297**	**1,558**	**28,350**	**2**	**551**	**7,969**	**7,051**	**18,502**	**209,837**
Reinsurance	17,225	395	1,541	4,055	13,251	6,714	217	2,131	7,753	1,707	127	593	811	4,865	112	11,317	358	17	8,785	1	150	4,511	3,386	9,532	99,554
NPW	**9,087**	**1,479**	**3,115**	**3,507**	**8,937**	**3,746**	**3,744**	**2,903**	**7,142**	**1,953**	**650**	**1,483**	**836**	**4,611**	**804**	**16,748**	**1,939**	**1,541**	**19,565**	**0**	**401**	**3,458**	**3,665**	**8,970**	**110,284**
Change in UPR	(984)	250	(922)	244	(4)	(511)	498	(67)	84	49	37	36	(414)	(45)	124	1,443	505	103	724	0	150	2,179	176	1,108	4,764
NEP	**10,071**	**1,228**	**4,037**	**3,263**	**8,941**	**4,256**	**3,246**	**2,970**	**7,058**	**1,904**	**614**	**1,447**	**1,250**	**4,655**	**680**	**15,305**	**1,434**	**1,438**	**18,841**	**0**	**250**	**1,279**	**3,489**	**7,862**	**105,520**
Net Incurred Claims	5,231	415	2,093	1,112	2,941	1,114	1,377	1,505	2,604	810	190	697	312	2,001	271	7,442	671	444	8,426	0	147	1,005	1,570	3,255	45,633
Net Commission Incurred	136	159	(192)	(79)	(159)	(25)	286	(188)	252	258	116	105	28	49	26	1,905	288	80	1,935	0	(6)	(780)	101	548	4,843
Technical Result	**4,704**	**655**	**2,136**	**2,231**	**6,160**	**3,167**	**1,583**	**1,654**	**4,201**	**837**	**308**	**644**	**909**	**2,605**	**383**	**5,958**	**475**	**915**	**8,480**	**(0)**	**110**	**1,054**	**1,818**	**4,059**	**55,044**
Operating Expenses	4,274	427	2,674	1,684	5,910	3,138	1,453	2,152	2,436	665	191	624	481	2,521	419	5,137	448	853	5,048	95	420	1,119	2,628	3,198	47,994
Underwriting Result	**430**	**228**	**(538)**	**547**	**249**	**30**	**129**	**(499)**	**1,765**	**172**	**117**	**21**	**428**	**84**	**(36)**	**821**	**27**	**61**	**3,432**	**(95)**	**(310)**	**(64)**	**(810)**	**861**	**7,050**
Investment																									
Investment Income	471	8	(5)	64	235	27	1	64	144	4	0	47	(172)	286	0	293	41	1	1,858	-	34	558	(21)	476	4,413
Unrealised Gains/Losses	18	26	64	31	72	-	-	(7)	47	41	-	6	-	12	-	-	336	-	243	-	(928)	-	(470)	-	(510)
Other Income	114	340	-	(2)	1,158	537	242	-	57	-	345	0	-	(47)	-	226	-	3	(86)	0	327	321	322	231	4,090
Profit Before Tax	**1,034**	**602**	**(479)**	**640**	**1,714**	**593**	**372**	**(441)**	**2,013**	**217**	**462**	**74**	**256**	**334**	**(36)**	**1,340**	**404**	**66**	**5,447**	**(95)**	**(878)**	**815**	**(979)**	**1,568**	**15,043**
Taxation	266	116	(376)	182	-	63	96	9	518	35	21	-	38	88	(181)	326	45	28	1,024	-	-	291	(50)	481	3,020
Profit After Tax	**768**	**486**	**(103)**	**458**	**1,714**	**530**	**277**	**(450)**	**1,494**	**182**	**442**	**74**	**217**	**247**	**145**	**1,014**	**359**	**38**	**4,423**	**(95)**	**(878)**	**524**	**(929)**	**1,086**	**12,023**

Appendix 1B: Statements of Financial Position for Non-life Insurers US$'000

	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Safel	Sanctuary	Tetrad Hail	Tristar	Zimnat Lion	Total
ASSETS																									
Non-Current Assets																									
Fixed Assets	956	522	371	307	456	1,471	1,240	2,374	2,955	1,012	230	775	571	2,417	108	2,124	419	2,276	1,153	871	882	1,140	211	1,069	**25,909**
Investments	1,096	96	1,100	438	397	-	11	453	168	261	7	48	100	1,559	551	3,912	1,764	1	2,580	-	1	2,503	1,441	3,352	**21,841**
	2,052	**618**	**1,471**	**745**	**853**	**1,471**	**1,251**	**2,828**	**3,123**	**1,273**	**238**	**823**	**671**	**3,976**	**659**	**6,036**	**2,183**	**2,277**	**3,733**	**871**	**882**	**3,643**	**1,652**	**4,421**	**47,750**
Technical Assets																									
Reinsurers' Share of O/S Claims	1,390	109	2,055	123	318	804	250	292	424	140	33	-	23	-	255	1,095	78	1	5,305	-	16	119	286	1,952	**15,068**
Deferred Acquisition Cost (DAC)	551	121	26	21	79	20	50	-	(53)	47	16	288	23	283	105	842	246	6	674	-	-	76	2	482	**3,905**
	1,941	**230**	**2,081**	**143**	**396**	**824**	**300**	**292**	**371**	**187**	**50**	**288**	**46**	**283**	**361**	**1,937**	**324**	**7**	**5,979**	**-**	**16**	**195**	**288**	**2,434**	**18,973**
Current Assets																									
Premium Receivables	6,478	1,598	708	1,162	1,706	974	315	931	2,545	381	192	731	882	2,750	1,026	5,409	197	13	1,624	-	191	4,659	1,635	3,030	**39,137**
Current Prescribed Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	350	37	-	241	-	-	-	152	7	**787**
Money Market Investments	6,152	231	-	783	-	84	-	343	1,809	-	-	334	37	-	-	596	-	-	9,520	-	-	-	576	1,337	**21,802**
Cash & cash equivalents	559	57	16	251	3,481	383	941	104	244	319	91	4	74	96	60	4,744	128	108	1,684	538	14	1,016	93	502	**15,508**
Inventory and Other Debtors	2,822	12	3,034	1,084	4,087	465	27	265	675	540	285	11	142	1,147	250	1,155	15	1,136	1,093	-	29	158	773	1,102	**20,307**
	16,011	**1,898**	**3,758**	**3,280**	**9,275**	**1,906**	**1,282**	**1,644**	**5,273**	**1,240**	**568**	**1,080**	**1,135**	**3,993**	**1,336**	**12,254**	**377**	**1,257**	**14,162**	**538**	**235**	**5,833**	**3,229**	**5,978**	**97,541**
TOTAL ASSETS	**20,003**	**2,746**	**7,310**	**4,169**	**10,524**	**4,201**	**2,833**	**4,764**	**8,767**	**2,699**	**855**	**2,191**	**1,853**	**8,253**	**2,355**	**20,227**	**2,884**	**3,541**	**23,874**	**1,409**	**1,134**	**9,672**	**5,169**	**12,833**	**164,264**
LIABILITIES																									
Deferred Tax Liabilities	-	-	244	(62)	(291)	(56)	30	-	67	12	19	14	-	310	-	326	-	28	-	-	37	86	77	484	**1,326**
Long Term loan	-	-	-	-	-	-	-	-	-	-	-	-	-	-	200	193	-	-	-	-	-	-	-	650	**1,043**
Current Tax provisions	266	85	-	75	-	194	38	93	483	36	96	-	38	76	59	-	42	182	106	-	-	388	82	(68)	**2,271**
Gross Outstanding Claims	2,679	239	2,992	460	1,047	1,815	362	777	484	292	76	158	103	1,105	441	1,860	155	15	5,444	-	34	638	576	3,063	**24,814**
IBNR	4,497	48	286	175	244	187	77	218	359	11	16	4	42	300	40	837	42	60	1,456	-	0	173	183	574	**9,830**
UPR	2,753	633	418	1,126	1,876	(101)	1,110	346	1,062	204	82	490	230	1,416	198	4,212	1,186	191	4,330	0	159	1,741	1,307	2,482	**27,452**
Reinsurance Creditors	5,763	733	1,049	743	2,515	371	-	540	2,312	296	76	366	443	3,200	114	1,892	5	87	123	1	145	2,578	1,151	1,763	**26,264**
Other Creditors	-	70	986	22	-	135	105	-	424	333	169	71	44	114	202	1,293	43	456	767	3	82	105	853	60	**6,336**
TOTAL LIABILITIES	**15,959**	**1,808**	**5,975**	**2,539**	**5,391**	**2,545**	**1,720**	**1,973**	**5,192**	**1,183**	**535**	**1,102**	**899**	**6,519**	**1,254**	**10,613**	**1,473**	**1,019**	**12,226**	**4**	**456**	**5,710**	**4,230**	**9,010**	**99,335**
SHAREHOLDERS' EQUITY																									
Share Capital	301	15	300	51	620	382	1,300	2	1	120	-	40	500	850	400	2,834	120	1,860	300	1,500	100	1,000	1	553	**13,149**
Share Premium	-	276	625	590	-	-	25	1,824	2,800	-	-	796	1,500	-	637	3,291	-	-	-	-	1,344	-	-	-	**13,709**
Revaluation & Other Reserves	1,141	-	422	-	-	3	86	417	137	7	287	179	-	29	-	-	49	243	2,025	-	-	782	3,830	1,241	**10,879**
Retained Profit	2,603	646	(12)	989	4,513	1,272	(298)	547	636	1,389	33	74	(1,046)	854	64	3,489	1,242	419	9,323	(95)	(767)	2,179	(2,892)	2,029	**27,192**
Shareholders's Equity	**4,044**	**938**	**1,335**	**1,630**	**5,133**	**1,656**	**1,113**	**2,791**	**3,574**	**1,516**	**320**	**1,089**	**954**	**1,733**	**1,101**	**9,614**	**1,411**	**2,522**	**11,648**	**1,405**	**677**	**3,962**	**939**	**3,823**	**64,929**
TOTAL EQUITY & LIABILITIES	**20,003**	**2,746**	**7,310**	**4,169**	**10,524**	**4,201**	**2,833**	**4,764**	**8,767**	**2,699**	**855**	**2,191**	**1,853**	**8,253**	**2,355**	**20,227**	**2,884**	**3,541**	**23,874**	**1,409**	**1,134**	**9,672**	**5,169**	**12,833**	**164,264**

Appendix 1C: Key Perfomance Indicators for Non-life Insurers

	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Safel	Sanctuary	Tetrad Hail	Tristar	Zimnat Lion	Total/Average
Indicator																									
Capital Adequacy																									
Capital Position ($000)	4,044	938	1,335	1,630	5,133	1,656	1,113	2,791	3,574	1,516	320	1,089	954	1,733	1,101	9,614	1,411	2,522	11,648	1,405	677	3,962	939	3,823	**2,705**
Capital Maintenance Ratio (CMR)	269.62%	62.52%	89.00%	108.65%	342.19%	110.38%	74.22%	186.08%	238.30%	101.06%	21.32%	72.63%	63.58%	115.57%	73.43%	640.93%	94.07%	168.15%	776.54%	93.67%	45.14%	264.10%	62.62%	254.85%	**180.36%**
Equity/Total Assets Ratio	20.22%	34.15%	18.26%	39.09%	48.77%	39.41%	39.29%	58.59%	40.77%	56.17%	37.39%	49.72%	51.47%	21.00%	46.77%	47.53%	48.93%	71.22%	48.79%	99.70%	59.73%	40.96%	18.17%	29.79%	**39.53%**
Solvency Margin	44.50%	63.43%	42.86%	46.47%	57.43%	44.20%	29.73%	96.15%	50.05%	77.61%	49.17%	73.47%	114.08%	37.60%	136.94%	57.40%	72.77%	163.67%	59.54%	309483.70%	168.88%	114.58%	25.63%	42.62%	**58.87%**
Asset Quality																									
Total Assets ($000)	20,003	2,746	7,310	4,169	10,524	4,201	2,833	4,764	8,767	2,699	855	2,191	1,853	8,253	2,355	20,227	2,884	3,541	23,874	1,409	1,134	9,672	5,169	12,833	**164,264**
Investments to Assets	39.03%	13.98%	15.27%	35.30%	36.86%	11.11%	33.58%	18.90%	25.33%	21.52%	11.54%	17.61%	11.39%	20.06%	25.94%	47.47%	66.89%	3.09%	58.75%	38.20%	1.30%	36.39%	43.77%	40.51%	**36.01%**
Non-Profitable Assets/Total Assets	60.97%	86.02%	84.73%	64.70%	63.14%	88.89%	66.42%	81.10%	74.67%	78.48%	88.46%	82.39%	88.61%	79.94%	74.06%	52.53%	33.11%	96.91%	41.25%	61.80%	98.70%	63.61%	56.23%	59.49%	**63.51%**
Investment in Fixed Assets/Total Assets	4.78%	19.00%	5.08%	7.37%	4.33%	35.01%	43.77%	49.84%	33.71%	37.48%	26.95%	35.36%	30.83%	29.29%	4.57%	10.50%	14.53%	64.26%	4.83%	61.80%	77.80%	11.79%	4.08%	8.33%	**15.77%**
Prescribed Assets Ratio	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	1.73%	1.28%	0.00%	1.01%	0.00%	0.00%	0.00%	2.93%	0.06%	**0.48%**
Premium Debtors/Gross Premium	24.62%	85.30%	15.21%	15.37%	7.69%	9.31%	7.95%	18.50%	17.09%	10.40%	24.64%	35.23%	53.55%	29.03%	112.06%	19.27%	8.58%	0.84%	5.73%	0.00%	34.68%	58.47%	23.18%	16.38%	**18.65%**
Premium Debtors/Total Assets	32.38%	58.19%	9.69%	27.88%	16.21%	23.18%	11.11%	19.55%	29.03%	14.10%	22.41%	33.38%	47.61%	33.32%	43.58%	26.74%	6.83%	0.37%	6.80%	0.00%	16.87%	48.17%	31.62%	23.61%	**23.83%**
Reinsurance																									
Risk Retention Ratio	34.54%	78.93%	66.90%	46.38%	40.28%	35.81%	94.52%	57.66%	47.95%	53.36%	83.64%	71.43%	50.75%	48.66%	87.82%	59.68%	84.41%	98.90%	69.01%	29.97%	72.71%	43.39%	51.98%	48.48%	**52.56%**
Reinsurance Creditors/Reinsurance Premium	33.46%	185.59%	68.07%	18.33%	18.98%	5.52%	0.00%	25.35%	29.82%	17.32%	60.07%	61.64%	54.60%	65.78%	101.79%	16.72%	1.40%	506.20%	1.40%	100.00%	96.06%	57.15%	34.00%	18.50%	**26.38%**
Reinsurers' Share of O/S Claims to O/S Claims	51.89%	45.68%	68.68%	26.73%	30.34%	44.31%	69.23%	37.60%	87.63%	47.97%	43.27%	0.00%	22.80%	0.00%	57.80%	58.87%	50.32%	6.00%	97.44%	0.00%	48.73%	18.61%	49.60%	63.72%	**60.72%**
Actuarial																									
UPR ($000)	2,753	633	418	1,126	1,876	(101)	1,110	346	1,062	204	82	490	230	1,416	198	4,212	1,186	191	4,330	0	159	1,741	1,307	2,482	**27,452**
IBNR ($000)	4,497	48	286	175	244	187	77	218	359	11	16	4	42	300	40	837	42	60	1,456	-	0	173	183	574	**9,830**
Technical Reserves/Capital	179.28%	72.64%	52.73%	79.84%	41.31%	5.20%	106.57%	20.17%	39.78%	14.22%	30.66%	45.31%	28.48%	98.97%	21.60%	52.52%	87.03%	9.96%	49.67%	0.03%	28.45%	48.32%	158.69%	79.96%	**57.42%**
(Outstanding Claims+IBNR)/Capital	143.07%	18.97%	91.61%	31.43%	18.97%	72.37%	16.90%	25.16%	11.73%	10.76%	18.43%	14.85%	12.69%	145.38%	20.56%	16.66%	8.43%	2.93%	13.70%	0.00%	2.56%	17.48%	50.40%	44.10%	**30.15%**
Earnings																									
Profit After Tax ($000)	768	486	(103)	458	1,714	530	277	(450)	1,494	182	442	74	217	247	145	1,014	359	38	4,423	(95)	(878)	524	(929)	1,086	**12,023**
Return on Equity	18.98%	51.78%	-7.72%	28.11%	33.40%	32.01%	24.84%	-16.11%	41.81%	11.98%	138.10%	6.82%	22.78%	14.23%	13.12%	10.55%	25.44%	1.52%	37.97%	-6.76%	-129.70%	13.24%	-98.90%	28.42%	**18.52%**
Return on Assets	3.84%	17.68%	-1.41%	10.99%	16.29%	12.62%	9.76%	-9.44%	17.05%	6.73%	51.64%	3.39%	11.72%	2.99%	6.14%	5.01%	12.45%	1.08%	18.53%	-6.74%	-77.47%	5.42%	-17.97%	8.47%	**7.32%**
Loss Ratio	51.94%	33.74%	51.85%	34.07%	32.89%	26.17%	42.42%	50.66%	36.90%	42.53%	30.96%	48.19%	25.00%	42.99%	39.84%	48.62%	46.79%	30.87%	44.72%	138.96%	58.68%	78.57%	45.00%	41.40%	**43.25%**
Net Commission Ratio	1.35%	12.95%	-4.76%	-2.43%	-1.78%	-0.59%	8.82%	-6.32%	3.57%	13.54%	18.89%	7.28%	2.24%	1.05%	3.86%	12.45%	20.08%	5.53%	10.27%	249.35%	-2.59%	-61.02%	2.90%	6.97%	**4.59%**
Net Expense Ratio	42.44%	34.74%	66.24%	51.60%	66.10%	73.72%	44.76%	72.45%	34.52%	34.92%	31.05%	43.11%	38.53%	54.15%	61.61%	33.56%	31.24%	59.33%	26.79%	123325.97%	167.79%	87.47%	75.32%	40.67%	**45.48%**
Combined Ratio	95.73%	81.43%	113.33%	83.25%	97.21%	99.30%	96.01%	116.78%	74.99%	90.98%	80.91%	98.57%	65.77%	98.20%	105.32%	94.64%	98.12%	95.73%	81.78%	123714.29%	223.88%	105.01%	123.22%	89.05%	**93.32%**
Underwriting Margin	4.27%	18.57%	-13.33%	16.75%	2.79%	0.70%	3.99%	-16.78%	25.01%	9.02%	19.09%	1.43%	34.23%	1.80%	-5.32%	5.36%	1.88%	4.27%	18.22%	-123614.29%	-123.88%	-5.01%	-23.22%	10.95%	**6.68%**
Investment Income/NPW Ratio	5.18%	0.57%	-0.16%	1.81%	2.62%	0.71%	0.02%	2.22%	2.02%	0.22%	0.01%	3.17%	-20.59%	6.21%	0.00%	1.75%	2.11%	0.07%	9.49%	0.00%	8.40%	16.13%	-0.57%	5.30%	**4.00%**
Investment Income/Total Financial Assets	6.03%	2.19%	-0.45%	4.32%	6.05%	5.69%	0.08%	7.16%	6.49%	0.73%	0.09%	12.19%	-81.58%	17.29%	0.00%	3.17%	2.17%	1.02%	13.48%	0.00%	228.93%	15.85%	-0.99%	9.16%	**7.46%**
Liquidity																									
Working Capital ($000)	1,992	390	850	907	4,280	320	(33)	(37)	876	576	251	337	326	(2,130)	844	5,064	(729)	701	8,682	537	(123)	423	140	112	**24,558**
Current ratio	112.49%	122.42%	117.04%	136.01%	179.39%	113.28%	97.96%	98.14%	118.37%	167.68%	168.52%	132.73%	138.10%	66.76%	199.13%	155.48%	49.02%	224.51%	175.77%	37438.53%	67.09%	107.55%	104.15%	101.36%	**126.71%**
Acid Test ratio	42.05%	16.56%	0.32%	41.07%	64.58%	19.36%	58.23%	22.67%	43.06%	37.56%	24.96%	32.75%	12.97%	1.50%	7.00%	62.34%	11.54%	19.17%	99.88%	37438.53%	3.79%	18.13%	24.33%	22.25%	**41.43%**
Market Shares																									
Market Share Based on GWP	12.54%	0.89%	2.22%	3.60%	10.57%	4.98%	1.89%	2.40%	7.10%	1.74%	0.37%	0.99%	0.79%	4.52%	0.44%	13.37%	1.09%	0.74%	13.51%	0.00%	0.26%	3.80%	3.36%	8.82%	**100%**
Market Share Based on NWP	8.24%	1.34%	2.82%	3.18%	8.10%	3.40%	3.40%	2.63%	6.48%	1.77%	0.59%	1.34%	0.76%	4.18%	0.73%	15.19%	1.76%	1.40%	17.74%	0.00%	0.36%	3.14%	3.32%	8.13%	**100%**
Market Share Based on Total Assets	12.18%	1.67%	4.45%	2.54%	6.41%	2.56%	1.72%	2.90%	5.34%	1.64%	0.52%	1.33%	1.13%	5.02%	1.43%	12.31%	1.76%	2.16%	14.53%	0.86%	0.69%	5.89%	3.15%	7.81%	**100%**

Appendix 2A: Statement of Comprehensive Income-Reinsurers U$ '000										
	Baobab	**Collonade**	**FBC Re**	**FMRE**	**Grand Re**	**New Re**	**Tropical**	**ZB Re**	**Zep-Re**	**Total**
Gross Written Premiums	**15,207**	**5,005**	**15,228**	**20,048**	**5,728**	**2,188**	**11,128**	**20,551**	**4,438**	**99,521**
Reinsurance Premiums	2,610	1,945	3,636	7,411	2,434	496	2,345	5,659	484	**27,019**
Net Written Premiums	**12,597**	**3,060**	**11,592**	**12,637**	**3,295**	**1,692**	**8,782**	**14,892**	**3,954**	**72,501**
Unearned Premium	(529)	491	659	687	(569)	321	(130)	199	307	**1,437**
Net Earned Premiums	**13,126**	**2,569**	**10,933**	**11,949**	**3,864**	**1,371**	**8,912**	**14,693**	**3,647**	**71,064**
Net Incurred Claims	4,681	632	3,823	4,717	1,593	163	4,688	7,165	1,268	**28,730**
Net Commission Incurred	3,844	611	3,680	3,259	902	543	2,192	3,976	1,094	**20,102**
Technical Result	**4,601**	**1,326**	**3,430**	**3,973**	**1,368**	**665**	**2,032**	**3,552**	**1,285**	**22,233**
Operating Expenses	6,256	947	2,162	2,855	1,622	423	1,167	2,900	281	**18,614**
Underwriting Result	**(1,655)**	**379**	**1,268**	**1,118**	**(254)**	**242**	**865**	**652**	**1,003**	**3,619**
Investment										
Investment Income	903	38	938	552	(1)	-	174	947	82	**3,634**
Unrealised Gains/Losses	562	-	514	(413)	25	-	2	-	-	**691**
Other Income	-	8	166	14	(51)	-	0	-	-	**137**
Profit Before Tax	**(189)**	**425**	**2,887**	**1,271**	**(281)**	**242**	**1,042**	**1,599**	**1,086**	**8,081**
Taxation	(49)	(14)	743	188	-	61	237	355	-	**1,521**
Profit After Tax	**(140)**	**439**	**2,143**	**1,083**	**(281)**	**181**	**805**	**1,244**	**1,086**	**6,560**

Appendix 2B: Statement of Financial Position-Reinsurers US$'000										
	Baobab	**Collonade**	**FBC Re**	**FMRE**	**Grand Re**	**New Re**	**Tropical**	**ZB Re**	**Zep-Re**	**Total**
ASSETS										
Non-Current Assets										
Fixed Assets	706	553	300	329	453	263	912	538	420	**4,475**
Investments	34,215	79	2,994	1,902	8,742	22	248	1,760	-	**49,962**
	34,921	**632**	**3,294**	**2,231**	**9,195**	**285**	**1,159**	**2,298**	**420**	**54,436**
Technical Assets										
Reinsurers' Share of O/S Claims	2,443	104	4,217	803	889	85	1,217	-	-	**9,757**
Deferred Acquisition Cost (DAC)	1,371	74	955	641	608	-	171	-	253	**4,073**
	3,814	**178**	**5,172**	**1,443**	**1,497**	**85**	**1,388**	**-**	**253**	**13,830**
Current Assets										
Premium Receivables	3,820	2,999	2,872	2,661	2,256	1,027	1,746	2,066	656	**20,103**
Money Market Investments	700	470	-	80	-	743	2,704	76	738	**5,512**
Cash & cash equivalents	230	77	9,003	5,143	383	334	331	7,634	116	**23,251**
Inventory and Other Debtors	4,505	154	274	511	76	75	72	149	-	**5,816**
	9,255	**3,700**	**12,149**	**8,395**	**2,715**	**2,179**	**4,853**	**9,926**	**1,510**	**54,681**
TOTAL ASSETS	**47,991**	**4,510**	**20,615**	**12,069**	**13,407**	**2,549**	**7,400**	**12,223**	**2,184**	**122,948**
Liabilities										
Deferred Tax Liabilities	-	-	(315)	73	171	-	70	123	-	**122**
Long term loan	-	-	-	-	300	-	-	-	-	**300**
Current Tax provisions	(34)	38	263	-	-	70	-	289	-	**626**
Gross Outstanding Claims	4,781	216	5,499	1,151	736	185	1,549	502	163	**14,783**
IBNR	765	153	824	1,255	290	133	878	1,664	579	**6,541**
UPR	3,355	893	3,324	2,330	1,306	636	854	1,441	816	**14,956**
Retrocession Creditors	7,037	1,557	1,916	1,154	955	485	1,556	333	-	**14,993**
Other Creditors	1,959	111	376	121	206	60	168	855	-	**3,855**
Total Liabilities	**17,864**	**2,967**	**11,886**	**6,084**	**3,963**	**1,569**	**5,076**	**5,208**	**1,558**	**56,175**
SHAREHOLDERS' EQUITY										
Share Capital	400	558	600	1	400	-	0	5	(460)	**1,505**
Share Premium	26,401	548	2,203	3,934	-	700	410	2,495	-	**36,691**
Revaluation & Other Reserves	7,027	26	2,870	254	5,260	182	-	8	-	**15,627**
Retained Profit	(3,701)	410	3,056	1,796	3,783	98	1,914	4,507	1,086	**12,949**
Shareholders's Equity	**30,127**	**1,543**	**8,730**	**5,985**	**9,443**	**980**	**2,324**	**7,015**	**626**	**66,772**
TOTAL EQUITY & LIABILITIES	**47,991**	**4,510**	**20,615**	**12,069**	**13,407**	**2,549**	**7,400**	**12,223**	**2,184**	**122,948**

Appendix 2C: Key perfomance Indicators for Reinsurers										
	Baobab Re	Colonnade	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re	Total/Average
Indicator										
Capital Adequacy										
Shareholders' Equity (Capital Base) $ 000	30,127	1,543	8,730	5,985	9,443	980	2,324	7,015	626	**7,419**
Capital Maintenance Ratio (CMR)	2008.48%	102.84%	581.98%	398.97%	629.56%	65.33%	154.91%	467.70%	41.74%	**494.61%**
Equity/Total Assets Ratio	62.78%	34.20%	42.35%	49.59%	70.44%	38.45%	31.40%	57.39%	28.67%	**54.31%**
Solvency Margin	239.16%	50.41%	75.31%	47.36%	286.62%	57.92%	26.46%	47.11%	15.83%	**92.10%**
Asset Quality										
Total Assets ($ 000)	47,991	4,510	20,615	12,069	13,407	2,549	7,400	12,223	2,184	**122,948**
Investments to Assets	73.24%	13.88%	58.19%	59.03%	68.06%	43.11%	44.36%	77.48%	39.14%	**64.03%**
Non-Profitable Assets/Total Assets	26.76%	86.12%	41.81%	40.97%	31.94%	56.89%	55.64%	22.52%	60.86%	**35.97%**
Investment in Fixed Assets/Total Assets	1.47%	12.27%	1.45%	2.73%	3.38%	10.32%	12.32%	4.40%	19.25%	**3.64%**
Prescribed Assets Ratio	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	**0.00%**
Premium Debtors/Total Assets	7.96%	66.49%	13.93%	22.05%	16.83%	40.29%	23.59%	16.90%	30.02%	**16.35%**
Premium Debtors/Gross Premium	25.12%	59.91%	18.86%	13.27%	39.39%	46.94%	15.69%	10.05%	14.77%	**20.20%**
Reinsurance										
Risk Retention Ratio	82.84%	61.14%	76.12%	63.03%	57.52%	77.33%	78.92%	72.46%	89.10%	**72.85%**
Retrocession Creditors/Retrocession Premium	269.66%	80.04%	52.69%	15.57%	39.26%	97.78%	66.34%	5.88%	0.00%	**55.49%**
Retrocessionaires' Share of O/S Claims to O/S Claims	51.09%	48.26%	76.68%	69.71%	120.78%	45.95%	78.53%	0.00%	0.00%	**66.00%**
Actuarial										
UPR	3,355	893	3,324	2,330	1,306	636	854	1,441	816	**14,956**
IBNR	4,781	216	5,499	1,151	736	185	1,549	502	163	**14,783**
Technical Reserves/Capital	27.01%	71.85%	101.07%	58.18%	21.62%	83.78%	103.45%	27.69%	156.37%	**44.54%**
(Outstanding Claims+IBNR)/Capital	18.41%	23.90%	72.43%	40.21%	10.86%	32.45%	104.48%	27.69%	118.40%	**31.93%**
Earnings										
Profit After Tax	(140)	439	2,143	1,083	(281)	181	805	1,244	1,086	**6,560**
Return on Equity	-0.47%	28.47%	24.55%	18.09%	-2.98%	18.47%	34.65%	17.74%	173.42%	**9.82%**
Return on Assets	-0.29%	9.74%	10.40%	8.97%	-2.10%	7.10%	10.88%	10.18%	49.72%	**5.34%**
Loss Ratio	35.66%	24.59%	34.97%	39.47%	41.24%	11.89%	52.61%	48.76%	34.77%	**40.43%**
Net Commission Ratio	29.29%	23.78%	33.66%	27.28%	23.35%	39.61%	24.59%	27.06%	30.00%	**28.29%**
Net Expense Ratio	47.66%	36.87%	19.77%	23.90%	41.98%	30.85%	13.10%	19.74%	7.72%	**26.19%**
Combined Ratio	112.61%	85.24%	88.40%	90.65%	106.56%	82.35%	90.30%	95.56%	72.49%	**94.91%**
Underwriting Margin	-12.61%	14.76%	11.60%	9.35%	-6.56%	17.65%	9.70%	4.44%	27.51%	**5.09%**
Investment Income/NPW Ratio	7.17%	1.23%	8.09%	4.37%	-0.03%	0.00%	1.99%	6.36%	2.08%	**5.01%**
Investment Income/Total Financial Assets	2.62%	24.16%	7.82%	7.84%	-0.01%	0.00%	30.13%	10.08%	70.68%	**4.96%**
Liquidity										
Working Capital	(2,836)	1,022	5,811	3,874	754	755	1,332	5,573	206	**16,492**
Current ratio	82.17%	135.77%	150.49%	164.96%	121.81%	150.03%	127.15%	228.05%	113.20%	**131.70%**
Acid Test ratio	5.85%	19.16%	78.22%	87.57%	11.06%	71.37%	61.84%	177.17%	54.87%	**55.29%**
Market Shares										
Market Share Based on GPW	15.28%	5.03%	15.30%	20.14%	5.76%	2.20%	11.18%	20.65%	4.46%	**100%**
Market Share Based on NPW	17.37%	4.22%	15.99%	17.43%	4.54%	2.33%	12.11%	20.54%	5.45%	**100%**
Market Share Based on Total Assets	39.03%	3.67%	16.77%	9.82%	10.90%	2.07%	6.02%	9.94%	1.78%	**100%**

Appendix 3A: Statement of Comprehensive Income for Insurance Brokers U$'000																													
	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraserve	L.A.Guard	Marsh	Matden	Minerva - Risk Solutions	Momentum	Navistar	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
GPW	10,543	161	640	218	516	5,521	2,220	5,665	2,936	3,964	390	4	7,282	5,549	1,818	140	8,304	397	13,813	3,101	3,854	98	410	3,824	97	2,792	2,409	780	6,993	**94,440**
Gross Premium Payable	9,082	136	539	192	438	4,484	1,845	4,731	2,248	3,395	304	2	6,047	4,522	1,517	122	6,833	374	11,164	2,543	3,264	78	299	2,873	82	2,262	1,916	626	5,830	**77,750**
Brokerage Commission	1,461	26	100	26	78	1,037	374	934	687	569	85	2	1,235	1,027	301	17	1,471	23	2,649	558	589	20	111	951	15	530	493	154	1,163	**16,690**
less Commission paid	72	-	-	2	-	-	-	20	-	34	15	0	271	36	-	-	8	-	-	-	-	3	7	71		-	-	-	-	**539**
Net Brokerage Commission	1,390	26	100	24	78	1,037	374	914	687	535	70	2	964	992	301	17	1,463	23	2,649	558	589	17	104	881	15	530	493	154	1,163	**16,151**
Other Income	56	3	-	51	-	5	1	96	78	34	3	3	0	33	42	-	20	0	-	196	19	36	172	180	-	-	56	75	260	**1,418**
Admin Expenses	1,392	35	91	71	74	907	386	894	671	855	39	3	797	1,088	333	13	942	24	3,266	426	609	54	226	968	23	480	544	184	1,447	**16,841**
Profit Before Tax	54	(6)	9	4	4	135	(10)	116	95	(286)	34	2	167	(63)	10	5	542	(2)	(617)	328	(1)	(2)	49	93	(8)	50	6	45	(24)	**728**
Taxation	19	2	3	1	1	34	1	32	24	16	1	0	43	-	3	2	139	-	(159)	99	-	3	2	-	-	-	-	13	9	**289**
Profit after Tax	35	(8)	6	3	3	101	(12)	84	70	(302)	33	1	124	(63)	8	2	403	(2)	(458)	230	(1)	(5)	47	93	(8)	50	6	31	(33)	**439**

	Appendix 3B:Statements of Financial Position for Insurance Brokers - US$('000)																													
	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraserve	L. A. Guard	Marsh	Matden	Minerva - Risk Solutions	Momentum	Navistar	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Shareholder's Equity																														
Share Capital	500	127	32	310	20	116	77	100	50	50	0	5	1	1	0	100	5	0	12	100	65	20	40	120	15	-	50	200	50	**2,166**
Share Premium	510	-	-	99	68	-	37	-	-	-	-	-	-	275	-	-	-	10	-	-	0	126	-	-	-	-	-	121	-	**1,246**
Non-Distributable Reserves	21	-	100	36	12	121	-	82	18	58	70	141	21	134	-	-	412	-	-	319	13	21	20	100	-	-	42	10	189	**1,940**
Retained Income	(499)	-	6	1	3	361	8	259	263	177	33	1	204	(305)	85	2	364	(0)	796	88	23	(5)	102	507	(8)	50	11	77	26	**2,629**
Toal Shareholder's Equity	**532**	**127**	**138**	**446**	**103**	**599**	**122**	**442**	**331**	**285**	**103**	**147**	**225**	**105**	**86**	**102**	**781**	**10**	**808**	**506**	**100**	**161**	**162**	**727**	**7**	**50**	**103**	**409**	**264**	**7,981**
LIABILITIES																														
Non-Current Liabilities	**-**	**-**	**-**	**-**	**61**	**13**	**-**	**-**	**3**	**-**	**-**	**8**	**318**	**-**	**315**	**-**	**13**	**1**	**-**	**154**	**-**	**-**	**9**	**315**	**416**	**-**	**-**	**4**	**11**	**1,640**
Current liabilities																														
Payable Premiums	1,006	-	539	-	-	215	3	19	74	47	25	4	552	1,709	243	8	733	9	2,101	243	1,229	29	7	401	-	104	197	116	359	**9,973**
Other	281	67	-	4	-	-	-	(6)	-	-	8	-	-	-	-	-	-	-	60	41	257	16	3	-	-	-	-	7	-	**740**
Brokers commision payable	-	-	-	-	-	-	-	-	-	-	-	-	6	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**6**
Provisions	-	-	-	-	-	23	-	-	-	28	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**50**
Sundry creditors	-	-	-	-	-	-	1	-	-	28	-	-	24	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**53**
Taxation	-	-	-	-	-	-	-	-	1	-	-	-	13	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**14**
Other	140	-	-	-	-	78	-	-	697	65	40	-	1	199	-	-	256	7	-	-	-	10	-	302	-	-	62	4	453	**2,311**
Total Current Liabilities	**1,427**	**67**	**539**	**4**	**-**	**316**	**4**	**13**	**773**	**167**	**72**	**4**	**596**	**1,908**	**243**	**8**	**989**	**16**	**2,161**	**284**	**1,486**	**55**	**10**	**704**	**-**	**104**	**259**	**127**	**812**	**13,147**
TOTAL LIABILITIES & EQUITY	**1,959**	194	**678**	**450**	**164**	**928**	**126**	**455**	**1,106**	**451**	176	158	**1,139**	**2,013**	**643**	110	**1,783**	**27**	**2,969**	**945**	1,586	**217**	**181**	**1,746**	**423**	**154**	**361**	**540**	**1,087**	**22,767**
Assets																														
Non - Current Assets																														
Property and Equipment	-	105	46	65	-	-	4	-	-	-	-	150	-	-	-	-	-	-	-	-	2	-	-	-	-	2	1	23	-	**399**
Land & Buildings	-	-	75	140	-	404	90	189	53	-	117	-	380	-	250	-	150	-	-	-	65	100	-	180	400	100	-	15	238	**2,945**
Furniture and Fittings	18	-	35	45	14	29	1	71	8	168	5	3	8	6	26	6	32	3	43	18	22	30	19	13	4	4	8	7	9	**654**
Motor Vehicles	240	-	73	110	20	47	-	-	61	-	10	-	218	118	34	30	16	-	2	75	96	5	47	50	15	-	55	52	17	**1,390**
Computer Equipment	26	-	25	4	15	7	0	-	12	-	7	-	27	5	8	10	8	-	49	5	8	2	5	17	4	5	11	8	16	**282**
Computer Software	-	-	10	2	0	-	0	-	-	-	-	-	-	93	-	8	0	-	-	-	-	-	-	1	-	-	-	6	10	**130**
Investments	-	-	105	32	26	55	19	23	-	147	-	-	-	159	7	-	-	-	-	195	15	42	-	22	-	-	-	141	70	**1,056**
Other	159	-	-	-	-	-	-	-	-	-	-	2	45	87	-	13	-	-	-	1	-	5	3	1	-	-	-	200	-	**516**
Total Non- Current Assets	**442**	**105**	**369**	**398**	**76**	**541**	**115**	**282**	**134**	**315**	**139**	**155**	**678**	**468**	**324**	**66**	**205**	**3**	**93**	**293**	**207**	**185**	**74**	**284**	**423**	**112**	**75**	**451**	**360**	**7,373**
Current Assets																														
Commission Receivable	-	-	100	6	-	3	1	-	-	68	-	1	434	-	-	17	489	-	1,766	-	1,301	-	-	1,386	-	21	-	6	119	**5,717**
Accured Investment Income	-	-	1	19	-	-	-	-	538	-	-	-	-	-	0	-	65	-	-	-	-	11	-	-	-	-	-	21	-	**655**
Other Debtors & Inventory	922	79	207	-	70	156	1	150	296	25	-	2	-	1,361	243	1	269	1	326	586	19	10	34	67	-	17	169	60	571	**5,640**
Cash & Cash Equivalents	595	10	-	28	18	227	9	22	139	44	37	0	27	184	76	26	754	24	783	66	60	11	72	9	-	4	117	1	37	**3,383**
Total Current Assets	**1,518**	**89**	**309**	**52**	**88**	**386**	**11**	**172**	**973**	**137**	**37**	**3**	**461**	**1,545**	**319**	**44**	**1,577**	**25**	**2,876**	**652**	**1,379**	**31**	**107**	**1,461**	**0**	**42**	**286**	**88**	**727**	**15,396**
TOTAL ASSETS	**1,959**	**194**	**678**	**450**	**164**	**928**	**126**	**455**	**1,106**	**451**	**176**	**158**	**1,139**	**2,013**	**643**	**110**	**1,783**	**27**	**2,969**	**945**	**1,586**	**217**	**181**	**1,746**	**423**	**154**	**361**	**540**	**1,087**	**22,768**

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers ($)

	Minerva Re	Pan African	RBI	Total
Premium Written	43,495,848	4,836,195	4,389,418	**52,721,461**
Premium due to Reinsurers	31,749,253	4,274,607	4,230,946	**40,254,806**
Brokerage Commission	11,746,595	561,588	158,472	**12,466,655**
less Commission Paid	9,917,936	-	-	**9,917,936**
Net Brokerage Commission	1,828,659	561,588	158,472	**2,548,719**
Other Income	-	32,976	69,059	**102,035**
Less Administration Expenses	1,136,031	357,293	252,711	**1,746,035**
Profit before Tax	692,628	237,271	(25,180)	**904,719**
Taxation	178,352	63,204	(6,484)	**235,072**
Profit after Tax	514,276	174,067	(18,696)	**669,647**

Appendix 4B: Statement of Financial Position for Reinsurance Brokers ($)

	Minerva Re	Pan African	RBI	Total
Share Capital	12,000	1,000	200,000	**213,000**
Share Premium	**-**	84,000	-	**84,000**
Non-Distributable Reserves	124,539	**-**	21,172	**145,711**
Retained Income	1,812,630	278,915	(68,844)	**2,022,701**
Shareholder's Equity	**1,949,169**	**363,915**	**152,328**	**2,465,412**
Liabilities				
Non-Current Liabilities	-	-	-	**-**
Current Liabilities				
Payable Premiums	6,766,600	1,786,616	1,813,631	**10,366,847**
Provisions	-	34,558	-	**34,558**
Sundry creditors	-	22,714	-	**22,714**
Other	4,455,811	57,249	172,541	**4,685,601**
Total Current Liabilities	**11,222,411**	**1,901,137**	**1,986,172**	**15,109,720**
TOTAL LIABILITIES & EQUITY	**13,171,580**	**2,265,052**	**2,138,499**	**17,575,131**
Land & Buildings	-	185,000	-	**185,000**
Furniture and Fittings	19,145	34,714	-	**53,859**
Motor Vehicles	-	47,572	-	**47,572**
Computer Equipment	-	17,281	2,858	**20,139**
Investments	-	-	20,000	**20,000**
Other	-	-	26,572	**26,572**
Total Non- Current Assets	**19,145**	**284,567**	**49,430**	**353,142**
Commission Receivable	5,190,193	551,561	-	**5,741,754**
Other Debtors & Inventory	6,100,312	126,108	1,786,267	**8,012,687**
Cash & Cash Equivalents	1,861,930	1,302,816	302,802	**3,467,548**
Total Current Assets	13,152,435	1,980,485	2,089,069	**17,221,989**
TOTAL ASSETS	**13,171,580**	**2,265,052**	**2,138,499**	**17,575,131**